

III.15. Annual Capacity Market.

(a) Annual Capacity Market Overview.

The ISO shall administer an annual market for capacity (Annual Capacity Market) in accordance with the provisions of this Section III.15. For each one-year period from June 1 through May 31, starting with the period June 1, 2028 to May 31, 2029, for which Capacity Supply Obligations are assumed and payments are made in the Annual Capacity Market (“Capacity Commitment Period”), the ISO shall conduct an Annual Capacity Auction in accordance with the provisions of Section III.15.4 to procure the amount of capacity needed in the New England Control Area and in each modeled Capacity Zone during the Capacity Commitment Period, as determined in accordance with the provisions of Section III.12. To be eligible to assume a Capacity Supply Obligation for a Capacity Commitment Period through the Annual Capacity Auction, a resource must have Qualified Capacity resulting from the Annual Capacity Auction qualification process in accordance with the provisions of Sections III.15.2 and III.15.3. Obligations associated with the Annual Capacity Market may be traded during ISO-administered Monthly Reconfiguration Auctions and monthly bilateral transactions, in accordance with Section III.15.5 and Section III.15.6, respectively. The obligations of resources with Capacity Supply Obligations resulting from the Annual Capacity Auction, Monthly Reconfiguration Auctions, and monthly bilateral transactions are set forth in Section III.15.7. Payments and charges resulting from participation in the Annual Capacity Market, Monthly Reconfiguration Auctions, and bilateral transactions, as well as Capacity Performance Payments, are set forth in Section III.15.8. The publication of auction-related information is set forth in Section III.15.9.

(b) Capacity Auction Calendar.

Beginning with the timeline for the Capacity Commitment Period beginning on June 1, 2028, and for each Capacity Commitment Period thereafter, the ISO shall publish a calendar of dates and deadlines for the administration of the Capacity Market, with the dates and deadlines being consistent for each Annual Capacity Auction cycle. The Capacity Auction Calendar shall include specific dates and deadlines for all such Capacity Market dates and deadlines defined in this Section III.15 and related Tariff provisions. The following defines several milestone dates and deadlines.

- (1) the Qualification Data Submission Deadline for the Annual Capacity Auction shall occur during the month of February;

(2) the Capacity Demonstration Deadline for the Annual Capacity Auction shall occur during the month of April; and

(3) the Annual Capacity Auction shall occur during the month of May.

(c) Modification of Capacity Auction Calendar.

The ISO may, on a prospective basis, reasonably revise any date or deadline in the Capacity Auction Calendar with written notice of such revision to each Governance Participant in the manner specified in Section 17.11(b) of the Participants Agreement prior to the occurrence of the date or deadline being revised. In the event a Market Participant fails to meet a deadline in the Capacity Auction Calendar for submission of information or data, the ISO shall extend such deadline for that Market Participant upon receipt of an order from the Commission granting the Market Participant's request for a waiver of such deadline for good cause shown. In no event shall a date or deadline be extended, prospectively by the ISO or retroactively by filing of a Market Participant, should doing so interfere with the ISO's effective administration of the Capacity Market.

(d) Effectiveness for the 2028-2029 Capacity Commitment Period and Thereafter.

The provisions of this Section III.15 are effective for the Capacity Commitment Period that runs from June 1, 2028 through May 31, 2029 and all Capacity Commitment Periods thereafter. Unless otherwise expressly stated, the provisions of this Section III.15 are not applicable to the Forward Capacity Market. Section III.13, addressing the administration of the Forward Capacity Market, shall continue to be effective for Capacity Commitment Periods through May 31, 2028. Unless otherwise expressly stated, the provisions of Section III.13 are not applicable to the Annual Capacity Market, Monthly Reconfiguration Auctions and monthly bilateral transactions addressed in this Section III.15 of Market Rule 1.

III.15.A. Non-Commercial Capacity Transition Rules.

All Capacity Resources that are on critical path schedule monitoring pursuant to Section III.13.3 as of June 1, 2028 are subject to the provisions of this Section III.15.A.

The ISO shall monitor the Non-Commercial Capacity resource's compliance with its critical path schedule from the time the ISO approves the request until the resource achieves FCM Commercial Operation, is terminated pursuant to Section III.15.A.2.1, or withdraws from critical path schedule monitoring pursuant to Section III.15.A.2.3.

III.15.A.1. Non-Commercial Capacity Resource Critical Path Schedule Reports.

For each resource that is being monitored for compliance with its critical path schedule, the Lead Market Participant for that resource must provide a written critical path schedule report to the ISO no later than five Business Days after the end of each calendar quarter. If the Lead Market Participant does not provide a written critical path schedule report to the ISO by the fifth Business Day after the end of the calendar quarter, then the ISO shall issue a notice thereof to the Lead Market Participant. If the Lead Market Participant fails to provide the critical path schedule report within five Business Days of issuance of that notice, then the resource will be subject to termination pursuant to Section III.15.A.2.1. Each critical path schedule report shall include a complete updated version of the critical path schedule as described in Section III.15.A.1.1 through Section III.15.A.1.3.

III.15.A.1.1. Updated Critical Path Schedule.

The critical path schedule report must include a complete updated version of the critical path schedule as described in Section III.15.A.1, dated contemporaneously with the submission of the critical path schedule report. The updated critical path schedule must clearly indicate if the Lead Market Participant is proposing to change any of the milestones or dates from the previously submitted version of the critical path schedule, and must include an explanation of any such proposed changes. In the critical path schedule report, the Lead Market Participant must also explain in detail any proposed changes to the project design and the potential impact of such changes on the amount of capacity the resource will be able to provide.

III.15.A.1.2. Documentation of Milestones Achieved.

- (a) For all new resources (except for Demand Capacity Resources installed at multiple facilities and Demand Capacity Resources from a single facility with a demand reduction value of less than 5 MW,

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which are discussed in Section III.15.A.1.2(b)), for each critical path schedule milestone achieved since the submission of the previous critical path schedule report, the Lead Market Participant must include in the critical path schedule report documentation demonstrating that the milestone has been achieved by the date indicated and as otherwise described in the critical path schedule, as follows:

- (i) **Major Permits.** For each major permit described in the critical path schedule, the Lead Market Participant shall provide documentation showing that the permit was applied for and obtained as described in the critical path schedule. For permit applications, this documentation could include a dated copy of the permit application or cover letter requesting the permit. For approved permits, this documentation could include a dated copy of the approved permit or letter granting the permit from the permitting authority.
- (ii) **Project Financing Closing.** The Lead Market Participant shall provide documentation showing that the sources of financing identified in the critical path schedule have committed to provide the amount of financing described in the critical path schedule. This documentation could include copies of commitment letters from the sources of financing.
- (iii) **Major Equipment Orders.** For each major component described in the critical path schedule, the Lead Market Participant shall provide documentation showing that the equipment was ordered as described in the critical path schedule. This documentation should include a copy of a dated confirmation of the order from the manufacturer or supplier. This documentation should confirm scheduled delivery dates consistent with milestone Section III.15.A.1.2(a)(v).
- (iv) **Substantial Site Construction.** The Lead Market Participant shall provide documentation showing that the amount of money expended on construction activities occurring on the project site has exceeded 20 percent of the construction financing costs.
- (v) **Major Equipment Delivery.** For each major component described in the critical path schedule, the Lead Market Participant shall provide documentation showing that the equipment was delivered to the project site and received as preliminarily acceptable as described in the critical path schedule. This documentation should include a copy of a dated confirmation of delivery to the project site.

(vi) **Major Equipment Testing.** For each major component described in the critical path schedule, the Lead Market Participant shall provide documentation showing that the component was tested, including major systems testing as appropriate for the specific technology as described in the critical path schedule, and that the test results demonstrate the equipment's suitability to allow, in conjunction with other major components, subsequent operation of the project in accordance with the amount of capacity subject to critical path schedule monitoring in accordance with Good Utility Practice. This documentation could include a dated copy of the satisfactory test results.

(vii) **Commissioning.** The Lead Market Participant shall provide documentation showing that the resource has demonstrated a level of performance equal to or greater than the amount of capacity subject to critical path schedule monitoring. This documentation should include a copy of a dated letter of confirmation from the applicable manufacturer, contractor, or installer.

(viii) **Commercial Operation.** The Lead Market Participant is not required to provide documentation of Commercial Operation (as defined in Schedule 22, 23, or 25 of Section II of the Transmission, Markets and Services Tariff) to the ISO as part of the ISO's critical path schedule monitoring. The ISO shall confirm that the resource has achieved Commercial Operation (as defined in Schedule 22, 23, or 25 of Section II of the Transmission, Markets and Services Tariff) as described in the critical path schedule through the resource's compliance with the other relevant requirements of the Transmission, Markets and Services Tariff and the ISO New England System Rules.

(ix) **Transmission Upgrades.** The Lead Market Participant shall provide documentation showing that all interconnection facilities and upgrades identified for the project associated with the resource in a Transitional Cluster Study, Cluster Study, or Cluster Restudy (conducted pursuant to Section 7.5 of Schedule 22, Section 7.5 of Schedule 23, or Section 7.5 of Schedule 25 of Section II of the Transmission, Markets and Services Tariff), or interconnection request or agreement under applicable state tariff, rules or procedures, have been completed.

(b) For Demand Capacity Resources installed at multiple facilities and Demand Capacity Resources from a single facility with a demand reduction value of less than 5 MW, for each critical path schedule milestone achieved since the submission of the previous critical path schedule report, the Lead Market

Participant must include in the critical path schedule report documentation demonstrating that the milestone has been achieved by the date indicated and as otherwise described in the critical path schedule, as follows:

- (i) **Substantial Project Completion.** The Lead Market Participant shall provide documentation showing the resource will be capable of providing its total offered demand reduction value as described in the New Demand Capacity Resource Qualification Package by the proposed Commercial Operation Date reported in the critical path schedule report.
- (ii) **Additional Requirements.** For each customer and each prospective customer the Lead Market Participant shall provide: name, location, MW amount, and description of stage of negotiation. If the customer's Asset has been registered with the ISO, then the Lead Market Participant shall also provide the Asset identification number.

III.15.A.1.3. Additional Relevant Information.

The Lead Market Participant must include in the critical path schedule report any other information regarding the status or progress of the project or any of the project milestones that might be relevant to the ISO's evaluation of the feasibility of the project being built in accordance with the critical path schedule.

III.15.A.2. Failure to Meet Critical Path Schedule.

If the ISO determines that any critical path schedule milestone date has been missed, or if the Lead Market Participant proposes a change to any milestone date in a quarterly critical path schedule report (as described in Section III.15.A.1), then the ISO shall consult with the Lead Market Participant to determine the impact of the missed milestone or proposed revision, and shall determine a revised date for the milestone and for any other milestones affected by the change. If a milestone date is revised for any reason, the ISO may require the Lead Market Participant to submit a written report to the ISO on the fifth Business Day of each month until the revised milestone is achieved detailing the progress toward meeting the revised milestone. If the Lead Market Participant does not provide a written critical path schedule report to the ISO on the fifth Business Day of a month, then the ISO shall issue a notice thereof to the Lead Market Participant. If the Lead Market Participant fails to provide the critical path schedule report within five Business Days of issuance of that notice, then the resource will be subject to termination pursuant to Section III.15.A.2.1. Such a monthly reporting requirement, if imposed, shall be in addition to the quarterly critical path schedule reports described in Section III.15.A.1.

III.15.A.2.1. Termination of Critical Path Schedule Monitoring.

If a Lead Market Participant fails to comply with the requirements of Sections III.15.A.1 or III.15.A.2, or if, as a result of milestone date revisions, the date by which a resource will have achieved all its critical path schedule milestones is more than two years after the beginning of the Capacity Commitment Period for which the resource first received a Capacity Supply Obligation, then the ISO, after consultation with the Lead Market Participant, shall have the right, through a filing with the Commission, to terminate the resource's status on critical path schedule monitoring, provided that, where a Lead Market Participant voluntarily withdraws its resource from critical path schedule monitoring in accordance with Section III.15.A.2.3 no filing with the Commission shall be necessary. Upon Commission ruling, the Lead Market Participant shall forfeit any financial assurance provided with respect to that Capacity Supply Obligation. If in these circumstances, however, the ISO does not take steps to terminate the resource and instead permits the Lead Market Participant to continue on critical path schedule monitoring, such continuation shall be subject to the ISO's right to revoke that permission and to file with the Commission to terminate the resource, and subject to continued reporting by the Lead Market Participant in accordance with Section III.15.A.1.

III.15.A.2.2. Termination of Interconnection Agreement.

If the ISO terminates, or files with the Commission to terminate, a resource's ability to remain on critical path schedule monitoring, the ISO shall have the right to terminate the Interconnection Agreement with that resource through a filing with the Commission and upon Commission ruling. The ISO shall also reduce the resource's assigned capacity interconnection service (or equivalent for resources not subject to the ISO Interconnection Procedures).

III.15.A.2.3. Withdrawal from Critical Path Schedule Monitoring.

A Lead Market Participant may withdraw its resource from critical path schedule monitoring by the ISO at any time by submitting a written request to the ISO.

III.15.A.3. Financial Assurance.

The financial assurance requirements for Designated FCM Participants offering Non-Commercial Capacity into the Forward Capacity Auction, as described in Section VII.B.2.b the ISO New England Financial Assurance Policy, shall continue to apply to all Capacity Resources that are subject to the provisions of this Section III.15.A.

Once a resource with Non-Commercial Capacity achieves commercial operation, its financial assurance obligation shall be released pursuant to the terms of the ISO New England Financial Assurance Policy and it shall have the same financial assurance requirements as a resource that has achieved Capacity Market Commercial Operation, as governed by the ISO New England Financial Assurance Policy.

If a Capacity Resource is only capable of delivering less than the amount of capacity that cleared in the Forward Capacity Auction, then the portion of its financial assurance associated with the shortfall shall be forfeited. Any financial assurance that is forfeited pursuant to Section III.15.A shall be used to reduce charges incurred by load in the relevant Capacity Zone.

III.15.A.4. Demonstrating FCM Commercial Operation

All Capacity Resources subject to the provisions of this Section III.15.A shall achieve commercial operation, for purposes of ending critical path schedule monitoring, in accordance with the FCM Commercial Operation requirements specified in Section III.13.3.8.

III.15.A.5. Settlement of Qualification Process Cost Reimbursement Deposit.

Upon the date on which the entire resource is no longer on critical path schedule monitoring, the ISO shall provide the Lead Market Participant with a statement in writing of the costs incurred by the ISO and its consultants, including the documented and reasonably-incurred costs of the affected Transmission Owner(s), associated with the qualification process and critical path schedule monitoring received by the ISO pursuant to Section IV.A.6.1 of the Transmission, Markets and Services Tariff. All Capacity Resources that are subject to the provisions of this Section III.15.A shall be subject to the Forward Capacity Market payment and refund requirements as set forth in Section III.13.1.9.3.2 of the Tariff.

III.15.1. Auction Demand Curves and Other Auction Inputs.

III.15.1.1. Annual Capacity Auction Demand Curves.

The total amount of capacity cleared in the Annual Capacity Auction pursuant to Section III.15.4 shall be determined using the System-Wide Capacity Demand Curve and the Capacity Zone Demand Curves for the Capacity Zones modeled for the Annual Capacity Auction.

III.15.1.1.1. System-Wide Capacity Demand Curve.

The System-Wide Capacity Demand Curve shall specify a price for system capacity quantities based on the product of the system-wide Marginal Reliability Impact value, calculated pursuant to Section III.12.1.1, and the scaling factor specified in Section III.15.1.1.4. For any system capacity quantity greater than 110% of the Installed Capacity Requirement (net of HQICCs), the System-Wide Capacity Demand Curve shall specify a price of zero. The System-Wide Capacity Demand Curve shall not specify a price in excess of the Capacity Auction Offer Price Cap.

III.15.1.1.2. Import-Constrained Capacity Zone Demand Curves.

For each import-constrained Capacity Zone, the Capacity Zone Demand Curve shall specify a price for all Capacity Zone quantities based on the product of the import-constrained Capacity Zone's Marginal Reliability Impact value, calculated pursuant to Section III.12.2.1.3, and the scaling factor specified in Section III.15.1.1.4. The prices specified by an import-constrained Capacity Zone Demand Curve shall be non-negative. At all quantities greater than the truncation point, which is the amount of capacity for which the Capacity Zone Demand Curve specifies a price of \$0.01/kW-month, the Capacity Zone Demand Curve shall specify a price of zero. The Capacity Zone Demand Curve shall not specify a price in excess of the Capacity Auction Offer Price Cap.

III.15.1.1.3. Export-Constrained Capacity Zone Demand Curves.

For each export-constrained Capacity Zone, the Capacity Zone Demand Curve shall specify a price for all Capacity Zone quantities based on the product of the export-constrained Capacity Zone's Marginal Reliability Impact value, calculated pursuant to Section III.12.2.2.1, and the scaling factor specified in Section III.15.1.1.4. The prices specified by an export-constrained Capacity Zone Demand Curve shall be non-positive. At all quantities less than the truncation point, which is the amount of capacity for which the Capacity Zone Demand Curve specifies a price of negative \$0.01/kW-month, the Capacity Zone Demand Curve shall specify a price of zero.

III.15.1.1.4. Capacity Demand Curve Scaling Factor.

The demand curve scaling factor shall be set at the value such that, at the quantity specified by the System-Wide Capacity Demand Curve at a price of Net CONE, the Loss of Load Expectation is 0.1 days per year.

III.15.1.2. Capacity Auction Offer Price Cap and the Cost of New Entry.

III.15.1.2.1. Calculation of Capacity Auction Offer Price Cap, CONE, and Net CONE.

(a) The Capacity Auction Offer Price Cap shall be the greater of (i) 1.6 multiplied by Net CONE; and (ii) CONE. References in this Section III.15 and Sections III.A.21 and III.A.24 to the Capacity Auction Offer Price Cap shall mean the Capacity Auction Offer Price Cap for the Annual Capacity Auction associated with the relevant Capacity Commitment Period.

(b) To determine the CONE and Net CONE for the Annual Capacity Auctions associated with the Capacity Commitment Period beginning on June 1, 2028 and the Capacity Commitment Period beginning on June 1, 2029, the ISO shall make interim-year adjustments as described in Section III.15.1.2.2 to the following CONE and Net CONE calculated for the Forward Capacity Auction for the Capacity Commitment Period beginning on June 1, 2025:

(i) CONE for the Forward Capacity Auction for the Capacity Commitment Period beginning on June 1, 2025 was \$12.400/kW-month.

(ii) Net CONE for the Forward Capacity Auction for the Capacity Commitment Period beginning on June 1, 2025 was \$7.468/kW-month.

(c) The ISO shall recalculate CONE and Net CONE for the Annual Capacity Auction for the Capacity Commitment Period beginning on June 1, 2030. Thereafter, CONE and Net CONE shall be recalculated no less often than once every four years. Whenever these values are recalculated, the ISO will review the results of the recalculation with stakeholders, and the new values will be filed with the Commission prior to the Annual Capacity Auction in which the new value is to apply.

III.15.1.2.2. Interim-Year Adjustments to CONE and Net CONE.

(a) For years in which no full recalculation is performed pursuant to Section III.15.1.2.1, CONE and Net CONE shall be adjusted for each Annual Capacity Auction with the following updates to the capital budgeting model used to calculate the CONE and Net CONE values set forth above in this Section

III.15.1.2:

(1) Each line item associated with capital costs that is included in the capital budgeting model shall be updated to reflect changes in the Bureau of Labor Statistics Producer Price Index for Machinery and Equipment: General Purpose Machinery and Equipment (WPU114).

(2) For each line item in (1) above, the ISO shall calculate a multiplier that is equal to the average of values published during the most recent 12 month period available at the time of making the adjustment divided by the average of the most recent 12 month period available at the time of establishing the CONE and Net CONE values set forth in Section III.15.1.2.1. The value of each line item associated with capital costs in the capital budgeting model will be adjusted by the relevant multiplier.

(3) The energy and ancillary services offset values in the capital budgeting model shall be adjusted by inputting to the capital budgeting model the Henry Hub natural gas futures prices, the Algonquin Citygates Basis natural gas futures prices and the Massachusetts Hub Day-Ahead Peak electricity prices, as published by ICE, for each month of the Capacity Commitment Period to which the updated value will apply.

(4) The annual adjustment to CONE and Net CONE for the Annual Capacity Auction for the Capacity Commitment Period beginning June 1, 2028, shall use a cost of debt of 6.85% and a cost of equity of 13.80%. These values shall also be used for the Annual Capacity Auction for the Capacity Commitment Period beginning on June 1, 2029.

(5) If any of the values required for the calculations described in this Section III.15.1.2.2 are unavailable, then comparable values, prices or sources shall be used.

(b) The CONE and Net CONE values adjusted pursuant to this Section III.15.1.2.2 will be published on the ISO's website.

III.15.2. Capacity Resource Qualification.

Each resource, or portion thereof, must qualify as a Generating Capacity Resource, an Import Capacity Resource, a Demand Capacity Resource, or a Distributed Energy Capacity Resource. Each resource must be at least 100 kW in size to participate in an Annual Capacity Auction, except for resources registered with the ISO prior to the earliest date that any portion of Section III.13 became effective. The summer period of a Capacity Resource's Seasonal Qualified Capacity Values shall be the months of June through September and the winter period shall be the months of October through May, except in the case of Demand Capacity Resources, where the summer period shall be the months of April through November and the winter period shall be the months of December through March.

This Section III.15.2 details the requirements of the qualification process for the Annual Capacity Auction, as well as certain requirements related to Monthly Reconfiguration Auctions and Capacity Supply Obligation Bilateral transactions. Data submission and demonstration requirements for resources that have never previously counted as capacity and seek to qualify to participate in an Annual Capacity Auction, are set forth in Section III.15.2.1. Data submission and demonstration requirements for resources that have never previously counted as capacity and seek to qualify to participate in a Monthly Reconfiguration Auction are set forth in Section III.15.2.2. Qualification requirements with respect to interconnection service are addressed in Section III.15.2.3. Qualification requirements with respect to resources that have previously counted as capacity and have materially changed are addressed in Section III.15.2.4. Following the Annual Capacity Auction's Qualification Data Submission Deadline, the ISO calculates and provides to Lead Market Participants Advisory Qualified Capacity Values for each Capacity Resource, per Section III.15.2.5. Lead Market Participants then have until the Capacity Demonstration Deadline to demonstrate that their Capacity Resources have achieved Commercial Operation, per Section III.15.2.6. Thereafter, the ISO calculates Seasonal Qualified Capacity Values for each Capacity Resource, per Section III.15.2.7, which values are subject to the challenge process addressed therein. Lead Market Participants are then permitted to submit Composite Offers in accordance with Section III.15.2.8, and load serving entities are permitted to submit self-supply designations in accordance with III.15.2.9. Final Qualified Capacity values for each Capacity Resource are calculated by the ISO one Business Day prior to the opening of the Annual Capacity Auction Offer Window in accordance with Section III.15.2.10. The publication of offer information during the qualification process and after the Annual Capacity Auction is addressed in Section III.15.2.11.

Resources seeking to qualify for an Annual Capacity Auction may be subject to buyer-side market power review and mitigation pursuant to Section III.A.21 and must abide by the applicable submission requirements and timelines set forth therein prior to seeking to qualify for an Annual Capacity Auction. To the extent not already established for the purposes of the submission requirements of Section III.A.21.1.5, all capacity suppliers seeking to qualify for an Annual Capacity Auction must be Market Participants prior to the Qualification Data Submission Deadline. The Lead Market Participant for a resource participating in an Annual Capacity Auction may not change during the period beginning 15 Business Days prior to the opening of the Annual Capacity Auction Offer Window and ending with the posting of the results of the Annual Capacity Auction.

III.15.2.1. Qualification Data Submission Requirements.

III.15.2.1.1. Qualification Data Submission Package.

(a) For a resource that has not previously received a Capacity Supply Obligation in an Annual Capacity Auction or Forward Capacity Auction to qualify as a Capacity Resource for participation in an Annual Capacity Auction, a Lead Market Participant must submit the following information to the ISO by the Qualification Data Submission Deadline, as applicable:

- (i) the resource name;
- (ii) the Lead Market Participant's contact information;
- (iii) the date by which the resource is expected to complete its capacity demonstration pursuant to III.15.2.6(c) or to update its as-built data pursuant to III.15.2.6(d);
- (iv) the resource address or location, and if available, asset identification number;
- (v) whether the resource has ever previously had a Capacity Supply Obligation;
- (vi) the location of the resource's interconnection;
- (vii) the estimated Seasonal Qualified Capacity Values of the resource, as well as an estimate of any incremental Seasonal Qualified Capacity Values (in MW) (for Generating Capacity Resources and Import Capacity Resources);
- (viii) the estimated total summer and winter demand reduction value (for Demand Capacity Resources and Distributed Energy Capacity Resources) or net injection capability values per facility (for Distributed Energy Capacity Resources);
- (ix) a description of the resource, including (for Generating Capacity Resources and Import Capacity Resources) a general description of the resource's equipment configuration and a description of the resource technology type, and (for Demand Capacity Resources) a

description of the resource's Demand Capacity Resource type and measure type, and (for Distributed Energy Capacity Resources) a description of the project and its configuration, including the types of generation and demand response composing the project, and (for Generating Capacity Resources and Distributed Energy Capacity Resources comprising generation) a one-line diagram of the resource's configuration;

- (x) for resources supported by an Internal Elective Transmission Upgrade, all unique project identifiers associated with the Internal Elective Transmission Upgrade;
- (xi) for Generating Capacity Resources with a contract to export capacity from the New England Control Area during the Capacity Commitment Period, the interface over which the capacity will be exported and the contract associated with the export capacity;
- (xii) Additional requirements for Import Capacity Resources, the interface over which the capacity will be imported and one of the following submissions documenting the source of the imported capacity, as further detailed in Section III.15.2.1.1.1: (i) documentation of a contract entered into before the Qualification Data Submission Deadline to provide capacity in the New England Control Area from outside of the New England Control Area for one or more years encompassing the entire Capacity Commitment Period, including documentation of the MW value of the contract; (ii) proof of ownership or direct control over one or more External Resources that will be used to back the Import Capacity Resource during the Capacity Commitment Period, including information to establish the summer and winter ratings of the resource(s) backing the import; or (iii) documentation for system-backed import capacity that the Import Capacity Resource will be supported by the Control Area and that the energy associated with that system-backed import capacity will be afforded the same curtailment priority as that Control Area's native load.
- (xiii) Additional requirements for Demand Capacity Resources, as further detailed in Section III.15.2.1.1.2: resource technical and credit/financial contacts; Measurement and Verification Plan (for On-Peak Demand Capacity Resources or Seasonal Peak Demand Capacity Resources); Load Zone and Dispatch Zone (for Active Demand Capacity Resources);
- (xiv) Additional requirements for Distributed Energy Capacity Resources, as further detailed in Section III.15.2.1.1.3: expected nameplate capacity by technology type per facility; installation date of facilities that are part of the project and already constructed, installed, or in commercial operation; indication of whether the project elects Intermittent Power

Resource treatment; resource technical and credit/financial contacts; Load Zone, Dispatch Zone and DRR Aggregation Zone;

- (xv) Additional requirements for resources with capacity impacted by ambient air conditions between 90 degrees and 100 degrees, as further detailed in Section III.15.2.1.5; and
- (xvi) Additional requirements for resources seeking ISO-estimated Seasonal Qualified Capacity Values, as further detailed in III.15.2.6(d): the Qualification Data Submission Package shall satisfy the technical data requirements associated with such resources and be supplemented with the as-built status of the resource on the date of the relevant Capacity Demonstration Deadline.

(b) By submitting the required qualification information, the Lead Market Participant certifies that a Capacity Offer from the resource will not include any anticipated revenues the resource is expected to receive for its capacity cost as a Qualified Generator Reactive Resource pursuant to Schedule 2 of Section II of the Tariff.

(c) The ISO may waive the submission of any information not required for evaluation of the resource.

III.15.2.1.1.1. Additional Import Capacity Resource Requirements.

Import Capacity Resources must be backed by one or more External Resources or by an external Control Area for the duration of the relevant Capacity Commitment Period. An external demand resource may not be an Import Capacity Resource. External nodes shall be established and mapped to Capacity Zones pursuant to the provisions in Attachment K to Section II of the Transmission, Markets and Services Tariff. For the purposes of the qualification process, all Import Capacity Resources shall be treated as if they had never previously participated as capacity and must submit the materials described pursuant to this Section III.15.2.1.1 for each Capacity Commitment Period for which the Import Capacity Resource seeks to qualify capacity. Import Capacity Resources backed by an External Control Area that does not have a Coordination Agreement with the ISO shall be ineligible to participate in the Annual Capacity Market. No single Import Capacity Resource may qualify capacity in excess of the external interface limits as described in Section III.12.10.

An Elective Transmission Upgrade with Capacity Network Import Interconnection Service under Schedule 25 of Section II of the Transmission, Markets and Services Tariff shall have its external node modeled in the Annual Capacity Auction after it has established a contractual association with an Import

Capacity Resource and that Import Capacity Resource has met the Annual Capacity Auction qualification requirements of this Section III.15.2.1 and demonstration requirements of III.15.2.6. The Qualified Capacity of all Import Capacity Resources associated with an Elective Transmission Upgrade shall not exceed the Elective Transmission Upgrade's Capacity Network Import Capability.

Capacity Offers for Import Capacity Resources shall be subject to rationing except for Capacity Offers priced above the Capacity Offer Price Threshold for Import Capacity resources associated with an Elective Transmission Upgrade, which must obtain a Capacity Supply Obligation or not in whole unless the Capacity Offer indicated that it may be rationed as described in III.15.4.1.

III.15.2.1.1.1. Imports Backed by External Resources.

If the Import Capacity Resource will be backed by one or more External Resources, the Lead Market Participant shall submit a description of how the Import Capacity Resource will meet its Capacity Supply Obligation in the Capacity Commitment Period(s) for which it seeks to qualify. The description must indicate specifically which External Resources will back the Import Capacity Resource during the Capacity Commitment Period and contain the relevant historical performance data for each resource. If those External Resources are not owned or controlled directly by the Lead Market Participant, the description must include a commitment that the External Resources will have sufficient capacity that is not obligated outside the New England Control Area to fully satisfy the Import Capacity Resource's potential Capacity Supply Obligation during the Capacity Commitment Period and demonstrate how that commitment will be met.

III.15.2.1.1.2. Imports Backed by an External Control Area.

If the Import Capacity Resource will be backed by an external Control Area, the Lead Market Participant shall submit system load and capacity projections for the external Control Area showing sufficient excess capacity during the Capacity Commitment Period to back the Import Capacity Resource.

III.15.2.1.1.3. Imports Crossing Intervening Control Areas.

Imports of capacity from a Control Area or resources located in a Control Area where such import crosses an intervening Control Area or Control Areas shall comply with the following additional requirements:

(1) for imports crossing a single intervening Control Area, the Lead Market Participant entering the import contract shall demonstrate, as detailed in the ISO New England Manuals, by the Qualification Data Submission Deadline, that the remote Control Area will afford the energy export to the adjacent

intervening Control Area the same curtailment priority as its native load, that the adjacent intervening Control Area has procedures in place to explicitly recognize the linkage between the import and re-export of energy in support of the import contract, and that the energy export to the ISO will not be curtailed (except pro-rata with a curtailment of native load) so long as the linked import is flowing; (2) for imports crossing more than one intervening Control Area, in addition to the requirements above, the Lead Market Participant entering the import contract shall demonstrate, as detailed in the ISO New England Manuals, by the Qualification Data Submission Deadline, that explicit market and operating procedures exist among the intervening Control Areas to ensure that the energy required to be delivered to the New England Control Area will be guaranteed the same curtailment priority as the intervening native loads, and that none of the intervening Control Areas will curtail the transaction except in conjunction with a curtailment of native load; and (3) the Lead Market Participant entering the import contract shall demonstrate that capacity it supplies to the New England Control Area will not be recalled or curtailed to satisfy the load of the external Control Area, or that the external Control Area in which it is located will afford New England Control Area load the same curtailment priority that it affords its own Control Area native load.

III.15.2.1.1.2. Additional Demand Capacity Resource Requirements.

A Demand Capacity Resource may be an Active Demand Capacity Resource, On-Peak Demand Capacity Resource, or Seasonal Peak Demand Capacity Resource, and may include an end-use customer facility with a Net Supply Capability of 5 MW or more only if the facility's Net Supply Capability does not exceed its Maximum Facility Load. Demand Capacity Resources must comply with all applicable federal, state, and local regulatory, siting, and tariff requirements, including interconnection tariff requirements related to siting, interconnection, and operation of the Demand Capacity Resource. Demand Capacity Resources are not permitted to submit a Capacity Offer to import into or export out of the New England Control Area.

For a resource, or portion thereof, that never previously obtained a Capacity Supply Obligation in a Forward Capacity Auction or Annual Capacity Auction to qualify as an On-Peak Demand Capacity Resource or Seasonal Peak Demand Capacity Resource for the Capacity Commitment Period beginning June 1, 2028, the measure or measures contained in the resource must not have been in-service prior to June 1, 2024. For a resource, or portion thereof, that never previously obtained a Capacity Supply Obligation in a Forward Capacity Auction or Annual Capacity Auction to qualify as an On-Peak Demand Capacity Resource or Seasonal Peak Demand Capacity Resource in the Annual Capacity Auction or

Monthly Reconfiguration Auction, as relevant, for or during the Capacity Commitment Period beginning June 1, 2029, and all Capacity Commitment Periods thereafter, the measure or measures contained in the resource must have been placed in-service or previously qualified as capacity no more than six months before the prior Annual Capacity Auction's Capacity Demonstration Deadline.

III.15.2.1.1.2.1. Measurement and Verification of Demand Capacity Resources.

(a) To demonstrate the demand reduction value of an On-Peak Demand Capacity Resource or Seasonal Peak Demand Capacity Resource, the Lead Market Participant of such a resource participating in the Annual Capacity Auction, Capacity Supply Obligation Bilaterals, or Monthly Reconfiguration Auctions shall submit to the ISO Measurement and Verification Documents in accordance with this Section III.15.2.1.1.2.1 and the ISO New England Manuals. The ISO shall review such Measurement and Verification Documents to determine whether they are consistent with the measurement and verification requirements set forth in this Section III.15.2.1.1.2.1 and the ISO New England Manuals.

(b) Measurement and Verification Documents must demonstrate both availability and performance of an On-Peak Demand Capacity Resource or Seasonal Peak Demand Capacity Resource in reducing demand coincident with Demand Resource On-Peak Hours or Demand Resource Seasonal Peak Hours such that the reported monthly demand reduction value shall achieve at least a ten percent relative precision and an eighty percent confidence interval as described and applied in the ISO New England Manuals and ISO New England Operating Procedures. The Measurement and Verification Documents shall: (1) serve as the basis for the claimed demand reduction value of an On-Peak Demand Capacity Resource or Seasonal Peak Demand Capacity Resource; (2) document the measurement and verification performed to verify the achieved demand reduction value of the On-Peak Demand Capacity Resource or Seasonal Peak Demand Capacity Resource; and (3) contain a projection of the On-Peak Demand Capacity Resource's or Seasonal Peak Demand Capacity Resource's demand reduction value for each month of the Capacity Commitment Period and, for those Demand Capacity Resources composed of energy efficiency measures, over the expected Measure Lives. An On-Peak Demand Capacity Resource's or Seasonal Peak Demand Capacity Resource's Measurement and Verification Documents must describe the methodology used to calculate electrical energy load reduction or output during Demand Resource On-Peak Hours or Demand Resource Seasonal Peak Hours. If an On-Peak Demand Capacity Resource or Seasonal Peak Demand Capacity Resource includes Distributed Generation, the Measurement and Verification Documents must describe the individual metering or metering protocol used to monitor and verify the

output of the Distributed Generation, consistent with the measurement and verification requirements set forth in Market Rule 1 and the ISO New England Manuals.

(c) The Measurement and Verification Documents shall include a Measurement and Verification Plan submitted in the Annual Capacity Auction qualification process, as described in this Section III.15.2.1.1.2.1, and monthly Measurement and Verification data submitted during the Capacity Commitment Period. The monthly Measurement and Verification data shall reference the measurement and verification protocols and performance data documented in the Measurement and Verification Plan. Such monthly Measurement and Verification data shall document the Lead Market Participant's total demand reduction value from both eligible pre-existing measures and new measures, and the Lead Market Participant's total demand reduction value from both eligible pre-existing measures and new measures, for all measures in operation as of the end of the previous month. The monthly Measurement and Verification data shall be based on Measurement and Verification Documents determined in accordance with Market Rule 1 and the ISO New England Manuals, and shall be the basis for monthly settlement with Lead Market Participants. All Measurement and Verification Documents shall conform to the ISO's specifications with respect to content, format and delivery methodology, and shall be submitted in accordance with the timelines and deadlines set forth in Market Rule 1 and the ISO New England Manuals.

(d) Lead Market Participants for On-Peak Demand Capacity Resources and Seasonal Peak Demand Capacity Resources shall submit no less frequently than once per year, a statement certifying that the Demand Capacity Resource for which the Lead Market Participant is requesting compensation continues to perform in accordance with the submitted Measurement and Verification Documents reviewed by the ISO. One such statement must be received by the ISO no later than ten Business Days before the Qualification Data Submission Deadline.

(e) For On-Peak Demand Capacity Resources and Seasonal Peak Demand Capacity Resources comprising customer facilities with greater than or equal to 10 kW of demand reduction value per facility, Lead Market Participants shall maintain records of retail customers served, including, at a minimum, the retail customer's address, the customer's utility distribution company, utility distribution company account identifier, measures installed, and corresponding monthly demand reduction values. For On-Peak Demand Capacity Resources and Seasonal Peak Demand Capacity Resources targeting customer facilities with under 10 kW of demand reduction value per facility, the Lead Market Participant shall maintain

records as described above for customer facilities with greater than or equal to 10 kW of demand reduction value per facility, or shall maintain records of aggregated demand reduction values and measures installed by Load Zone and meter domain. Lead Market Participants shall maintain such records until the end of the Measure Life, or until the Demand Capacity Resource is retired or deactivated from the Annual Capacity Market, and shall submit such records to the ISO upon request in a readable electronic format.

(f) The ISO shall review the Measurement and Verification Documents and complete such review and identify any necessary modifications in accordance with the Annual Capacity Auction qualification process as described in Section III.15.2 and pursuant to the ISO New England Manuals. In its review of the Measurement and Verification Documents, the ISO may consult with the Lead Market Participant to seek clarification, to gather additional necessary information, or to address questions or concerns arising from the materials submitted. At the discretion of the ISO, the ISO may consider revisions or additions to the Measurement and Verification Documents resulting from such consultation; provided, however, that in no case shall the ISO consider revisions or additions to the Measurement and Verification Documents if the ISO believes that such consideration cannot be properly accomplished within the time periods established for the qualification process.

III.15.2.1.1.3. Additional Distributed Energy Capacity Resource Requirements.

(a) Distributed Energy Capacity Resources. A facility connected at a point of interconnection that is 5 MW or greater cannot be a part of a Distributed Energy Capacity Resource. A Distributed Energy Capacity Resource comprises one or more Distributed Energy Resource Aggregations located in a single Capacity Zone and a single DRR Aggregation Zone, except that (a) a Settlement Only Distributed Energy Resource Aggregation may not participate in a Distributed Energy Capacity Resource with any other type of Distributed Energy Resource Aggregation, and (b) an end-use customer facility participating as part of an On-Peak Demand Capacity Resource or Seasonal Peak Demand Capacity Resource with measures other than Energy Efficiency may not participate in a Distributed Energy Capacity Resource. Distributed Energy Capacity Resources are not permitted to submit a Capacity Offer to import into or export out of the New England Control Area. For purposes of this Section III.15.2.1.1.3: (i) if a facility is expected to interconnect at a point of interconnection, its net injection capability is the generation capability of the installed generation technology at the point of interconnection; (ii) if a facility is expected to interconnect at a Retail Delivery Point and does not plan to participate in the aggregation as a Demand Response Resource or Demand Response Distributed Energy Resource Aggregation, the net injection capability is

the lesser of the generation less the load profile measured at the location of the end-use customer meter or the amount the facility is contractually able to inject.

(b) Demand Response Resource in Distributed Energy Capacity Resources. If the Distributed Energy Capacity Resource includes Demand Response Resources, the completed Qualification Data Submission Package shall include the following additional information: the estimated summer and winter demand reduction values (MW) per measure and/or per customer facility (measured at the customer meter and not including losses); the estimated total summer and winter demand reduction value of the Demand Response Resource (which must be consistent with the baseline calculation methodology in Section III.8.2); and supporting documentation (e.g., engineering estimates or documentation of verified savings from comparable projects) to substantiate the reasonableness of the estimated demand reduction values.

(c) Net Injection of 5 MW or Greater. If the Distributed Energy Capacity Resource contains a Distributed Energy Resource Aggregation with a facility with net injection of 5 MW or greater at a Retail Delivery Point, then the completed Qualification Data Submission Package for such a resource shall include the following additional information: the Pnode and service address at which the end-use facility is located; nameplate MW and net injection capability; non-coincident peak load (MW) of the facility without generation; technology type; and the Market Participant's portion of generation requested to be included as Qualified Capacity.

(d) Net Injection Greater Than or Equal to 1 MW and less than 5 MW. If the Distributed Energy Capacity Resource contains a Distributed Energy Resource Aggregation with a facility that has net injection capability at the point of interconnection of 1 MW or greater and less than 5 MW, then the completed Qualification Data Submission Package for such a facility shall include the following additional information: distribution bus; technology type; nameplate MW; one-line diagram of the plant and station facilities, including any known transmission facilities; if the facility is intermittent, the requested contribution of Qualified Capacity and supporting site-specific data; if an interconnection agreement is required under state requirements, the date when the interconnection request was submitted and the status of that interconnection request.

III.15.2.1.2. Market Power Review.

Lead Market Participants seeking to qualify a Capacity Resource that has not previously obtained a Capacity Supply Obligation in an Annual Capacity Auction or Forward Capacity Auction, or that is

otherwise treated as if it had never done so pursuant to this Section III.15.2, must comply with the market power review provisions of Section III.A.21 by the Annual Capacity Auction Qualification Data Submission Deadline.

III.15.2.1.3. Capacity Commitment Period Election.

For the Annual Capacity Auctions for the 2028-2029, 2029-2030 and 2030-2031 Capacity Commitment Periods, a Lead Market Participant that has made the election in Section III.13.1.1.2.2.4 of the Forward Capacity Market rules with respect to a Capacity Resource must specify by the Qualification Data Submission Deadline whether it elects to continue to have the associated Capacity Supply Obligation and Capacity Clearing Price apply in Annual Capacity Auctions for the balance of the period permitted for such Capacity Resource pursuant to Section III.13.1.1.2.2.4. Should a Lead Market Participant elect to terminate Section III.13.1.1.2.2.4 treatment for its Capacity Resource, it may not re-elect such treatment for any future Annual Capacity Auctions.

A Lead Market Participant that has made the election in Section III.13.1.1.2.2.4 of the Forward Capacity Market rules with respect to a Capacity Resource which has not achieved Capacity Market Commercial Operation as defined in Section III.15.2.6 of Market Rule 1 may not participate in the Annual Capacity Auction for the 2028-2029 Capacity Commitment Period and shall not have the previously elected Capacity Supply Obligation and Capacity Clearing Price apply for the 2028-2029 Capacity Commitment Period. Should such resource achieve Capacity Market Commercial Operation in time for participation in the Annual Capacity Auction for the 2029-2030 Capacity Commitment Period, or the Annual Capacity Auction for the 2030-2031 Capacity Commitment Period, it may elect to have the Capacity Supply Obligation and Capacity Clearing Price it received pursuant to Section III.13.1.1.2.2.4 apply for the balance of the period permitted for such Capacity Resource pursuant to Section III.13.1.1.2.2.4, and in no event after the Annual Capacity Auction for the 2030-2031 Capacity Commitment Period.

III.15.2.1.4. Material Deficiency in Data Submission.

In its review of a Lead Market Participant's data submission under this Section III.15.2.1, the ISO may consult with the Lead Market Participant, to gather additional necessary information, or to address questions or concerns arising from the materials submitted. At the discretion of the ISO, the ISO may consider revisions or additions to the qualification materials resulting from such consultation; provided, however, that in no case shall the ISO consider revisions or additions to the qualification materials if the ISO determines that such consideration cannot be properly accomplished within the time periods established for the qualification process. In addition, the ISO or the Lead Market Participant may confer

to seek clarification, to gather additional necessary information, or to address questions or concerns prior to the ISO's final determination and notification of qualification.

In the event the ISO determines that a Lead Market Participant's data submission under Section III.15.2.1 is materially deficient, it shall notify the participant of such deficiencies at least ten Business Days prior to publication of the Advisory Seasonal Qualified Capacity Values, and the Lead Market Participant shall have five Business Days from the date of notification to cure the deficiencies. Should a Lead Market Participant fail to cure such deficiencies by the end of the cure period, it shall not be permitted to participate in the Annual Capacity Auction. In the event of such a rejection, the ISO shall provide the Lead Market Participant with a written explanation of the reason for the rejection within ten Business Days of the close of the cure period.

III.15.2.1.5. Additional Qualification Requirements for Ambient Air Condition Impacts.

In the Qualification Data Submission Package, a Lead Market Participant may submit documentation indicating that a portion of its resource's capacity will not be physically available due to an ambient air condition. The size of such ambient air condition is calculated as the difference between the summer Qualified Capacity at 90 degrees and the rating of the resource at 100 degrees. The ISO shall verify during the qualification process the size of the ambient air condition.

III.15.2.2. Monthly Reconfiguration Auction Qualification.

For a resource that has not previously obtained a Capacity Supply Obligation in an Annual Capacity Auction or Forward Capacity Auction to qualify as a Capacity Resource for the purpose of participation in a Monthly Reconfiguration Auction pursuant to Section III.15.5 or bilateral activities pursuant to Section III.15.6, prior to the Capacity Demonstration Deadline for the relevant month a Lead Market Participant must: (1) submit the Qualification Data Submission Package as described in Section III.15.2.1 (except for the information described at Section III.15.2.1.2) by the Capacity Demonstration Deadline for the relevant month, except that an Import Capacity Resource or a Resource seeking ISO-estimated Seasonal Qualified Capacity Values pursuant to Section III.15.2.6(d) must submit its Qualification Data Submission Package 30 calendar days prior to the Capacity Demonstration Deadline; and (2) complete a capacity demonstration pursuant to Section III.15.2.6.

III.15.2.3. Deliverability Review.

A Generating Capacity Resource, Active Demand Capacity Resource, Import Capacity Resource associated with an External Elective Transmission Upgrade, and Distributed Energy Capacity Resource must satisfy the deliverability review requirements described in this Section III.15.2.3 in order to qualify capacity for participation in an Annual Capacity Auction, Monthly Reconfiguration Auction, or bilateral transaction above the deliverability value associated with the resource's qualification for any previous Forward Capacity Auction, Annual Capacity Auction, Monthly Reconfiguration Auction, or bilateral transaction. None of the provisions of this Section III.15.2, supersedes, replaces, or satisfies any of the requirements of Schedules 22, 23 or 25 of Section II of the Transmission, Markets and Services Tariff, except as specifically provided thereunder.

III.15.2.3.1. Deliverability Review for Capacity Resources Associated with Generating Facilities or External Elective Transmission Upgrades Subject to Schedule 22, 23, or 25 of Section II of the Tariff.

A Generating Facility or External Elective Transmission Upgrade subject to Schedules 22, 23 or 25 of Section II of the Tariff must complete the applicable interconnection processes set forth therein and have been assigned, as applicable, either Capacity Network Resource Interconnection Service or Capacity Network Import Interconnection Service, as necessary to support the delivery of the associated Capacity Resource's Qualified Capacity.

III.15.2.3.2. Deliverability Review for Capacity Resources Associated with Resources Not Subject to Schedule 22, 23, or 25 of Section II of the Tariff.

For a Generating Capacity Resource, Active Demand Capacity Resource, or Distributed Energy Capacity Resource not subject to Schedules 22, 23, or 25 of Section II of the Tariff, the ISO shall perform a deliverability review based on: (1) the information provided in the resource's Qualification Data Submission Package; and (2) the results of the ISO's most recent deliverability analysis, performed consistent with the criteria and conditions conducted as described in the ISO New England Planning Procedures. Where, as a result of this analysis, the ISO determines that such a resource cannot deliver any of the requested incremental capacity, then the resource or incremental portion thereof shall not qualify for participation in the Capacity Market as reflected in the Seasonal Qualified Capacity Values issued pursuant to Section III.15.2.7; otherwise, the ISO shall determine that the requested Qualified Capacity of the Capacity Resource is deliverable, and the Capacity Resource shall be eligible to continue to proceed with the remainder of the processes described in this Section III.15.2.

III.15.2.4. Resources Previously Counted as Capacity.

Resources that have previously counted as capacity shall, for the purposes of Section III.15.2, be treated as if they had never previously obtained a Capacity Supply Obligation in an Annual Capacity Auction or Forward Capacity Auction if: (1) there is a material change to the Capacity Resource as described in III.15.2.4.1, or (2) if a deactivated or retired resource seeks to re-enter the Capacity Market pursuant to III.15.2.4.2.

III.15.2.4.1. Material Change to a Capacity Resource.

(a) A Lead Market Participant that materially changes a Capacity Resource that has previously received a Capacity Supply Obligation in an Annual Capacity Auction or Forward Capacity Auction, or plans to do so prior to the relevant Capacity Demonstration Deadline, may, by the relevant Qualification Data Submission Deadline or monthly Capacity Demonstration Deadline, inform the ISO of that material change, update the information provided under Section III.15.2.1.1 to reflect the change to the Capacity Resource, and demonstrate its updated Commercial Capacity pursuant to Section III.15.2.6. The updated Qualified Capacity of the resource, accounting for the change, shall be calculated in accordance with Section III.15.3.1 for the subsequent Annual Capacity Auction, Monthly Reconfiguration Auction, or Capacity Supply Obligation Bilateral. The Seasonal Qualified Capacity of a Capacity Resource that notifies the ISO of a material change but does not demonstrate pursuant to III.15.2.6 shall remain unmodified until demonstration of the material change occurs.

(b) For purposes of this Section III.15.2.4, a material change to a Capacity Resource is a change to the design or operating characteristics of the resource, including its interconnection facilities, that may have a significant effect on the reliability or operating characteristics associated with the Capacity Resource, and shall include, but not be limited to, changing the resource technology type, making a change to the Capacity Resource that increases or decreases the resource's Annual Qualified Capacity by greater than the lesser of 5 MW or 10 percent, or any change to the resource that requires a material modification to its interconnection agreement. No less than 30 calendar days prior to the Qualification Data Submission Deadline or Monthly Capacity Demonstration Deadline, as relevant, a Lead Market Participant may request, and the ISO shall within 20 calendar days provide, a determination regarding whether a change qualifies as a material change to a Capacity Resource pursuant to this Section III.15.2.4 and requires submission of the materials required pursuant to Section III.15.2.1.1.

III.15.2.4.2. Treatment of Previously Deactivated or Retired Resources.

In order to qualify for participation in the Capacity Market, a resource that previously has been deactivated or retired pursuant to Section I.3.9 of the Transmission, Markets and Services Tariff (or its predecessor provisions) must: (1) have reached its deactivation date and reduced its Capacity Network Resource Capability pursuant to Section II.48.3; (2) if the resource was compensated for delaying deactivation through a Commission-approved cost-of-service agreement, have refunded to the ISO all costs subject to refund under the claw-back provision set forth in Section II.54.1; and (3) have satisfied the provisions of Section III.15.2, including submission of the Qualification Data Submission Package described in Section III.15.2.1 and completed the capacity interconnection service requirements described in Section III.15.2.3, as if the resource had never previously received a Capacity Supply Obligation in a Forward Capacity Auction or Annual Capacity Auction.

III.15.2.5. Calculation of Advisory Qualified Capacity Values.

Following the Qualification Data Submission Deadline, by a date in the month of February published on the Capacity Auction Calendar, the ISO shall calculate and provide to Lead Market Participants summer and winter Advisory Qualified Capacity Values for each resource that has met the data submission requirements in Section III.15.2.1. The Advisory Qualified Capacity Values of any resource that has not previously received a Capacity Supply Obligation in an Annual Capacity Auction or Forward Capacity Auction, or is otherwise treated as if it had not done so, shall equal its demonstrated Commercial Capacity determined in accordance with Section III.15.2.6; except that in the event that a resource has not yet demonstrated a portion of its Commercial Capacity, its Advisory Qualified Capacity Values shall equal the sum of its Commercial Capacity and the estimated incremental Seasonal Qualified Capacity Values of the resource as submitted pursuant to Section III.15.2.1. For all other resources, the Advisory Qualified Capacity Values shall equal the Capacity Resource's summer and winter Qualified Capacity as calculated pursuant to Section III.15.3.

During the period beginning with the ISO's issuance of Advisory Qualified Capacity Values and ending with the conclusion of the Annual Capacity Auction, any change to a capacity resource or the information submitted in a Qualification Data Submission Package shall not impact the resource's Seasonal Qualified Capacity Values for that Annual Capacity Auction unless the change has already been accounted for in the submitted Qualification Data Submission Package, or is made pursuant to Section III.15.2.1.4 or Section III.15.2.7.

III.15.2.6. Capacity Commercial Operation Demonstration Requirement.

To participate in an Annual Capacity Auction, Monthly Reconfiguration Auctions, or a Capacity Supply Obligation Bilateral transaction, a Capacity Resource must first demonstrate that its capacity is commercially operational by meeting the demonstration requirements in this Section III.15.2.6 by the applicable Capacity Demonstration Deadline. A resource that meets the demonstration requirements of this Section III.15.2.6 shall be deemed to have achieved Capacity Market Commercial Operation.

- (a) Demonstration must be completed (i) prior to a Capacity Resource's initial participation in the Annual Capacity Auction, Monthly Reconfiguration Auction, or bilateral transaction, and (ii) when a Capacity Resource that has previously received a Capacity Supply Obligation in a Forward Capacity Auction or Annual Capacity Auction materially changes or reactivates pursuant to Section III.15.2.4.
- (b) The Capacity Demonstration Deadline for each Annual Capacity Auction shall be during the month of April preceding the relevant Annual Capacity Auction, as published on the Capacity Auction Calendar; for each Monthly Reconfiguration Auction and Capacity Supply Obligation Bilateral window, the Capacity Demonstration Deadline shall precede the relevant Obligation Month by approximately two weeks, as published on the Capacity Auction Calendar.
- (c) To demonstrate commercial capacity, a resource must perform an audit by the relevant Capacity Demonstration Deadline, using the following audit requirements:
 - (i) For Generating Capacity Resources that are not Intermittent Power Resources, each Generator Asset must perform an Establish Claim Capability Audit pursuant to Section III.1.5.1.2, provide the data described in ISO New England Operating Procedure No. 23, and have its audit value become effective pursuant to Section III.1.5.1.2(d)(iv).
 - (ii) For Generating Capacity Resources that are Intermittent Power Resources, each Generator Asset must perform a Seasonal Claim Capability Audit pursuant to Section III.1.5.1.3, provide the data described in ISO New England Operating Procedure No. 23, and have its audit value become effective pursuant to Section III.1.5.1.3(i).
 - (iii) For Active Demand Capacity Resources, each Demand Response Asset must perform a Seasonal DR Audit pursuant to III.1.5.1.3.1, as specified by season in III.15.7.1.5.3(c), requested

by the Lead Market Participant, and have its audit value become effective pursuant to Section III.15.1.3.1(m).

(iv) For Demand Capacity Resources that are not Active Demand Capacity Resources, each Demand Capacity Resource must perform a Passive DR Audit pursuant to III.15.7.1.5.4, as specified by season in III.15.7.1.5.3(c), at the request of the Lead Market Participant, and have its audit value become effective pursuant to Section III.15.7.1.5.4(f).

(v) For Distributed Energy Capacity Resources, each asset comprising the Distributed Energy Capacity Resource must meet the demonstration requirement in sub-sections (i) through (iii) above for its corresponding asset type.

(vi) For Import Capacity Resources, demonstration is achieved through provision of performance data in the resource's Qualification Data Submission Package in accordance with Section III.15.2.1, except that Import Capacity Resources associated with an external Elective Transmission Upgrade must demonstrate the ability to transfer power between regions pursuant to Schedule 25, Article 6.

(d) For those resources identified in Sections III.15.2.6(c)(ii), III.15.2.6(c)(iv), and III.15.2.6(c)(v) providing asset-level meter-based performance data by the Capacity Demonstration Deadline that is, as determined by the Lead Market Participant, of insufficient duration to establish accurate Seasonal Qualified Capacity Values, or for a period inconsistent with the audit described in Section III.15.2.6(c), the Lead Market Participant may request that the ISO determine Seasonal Qualified Capacity Values based on the lesser of: (1) the Seasonal Qualified Capacity Values requested for qualification by the Lead Market Participant; or (2) the Seasonal Qualified Capacity Values estimated by the ISO. In no instance shall the Seasonal Qualified Capacity Values developed pursuant to this Section III.15.2.6(d) exceed a resource's seasonal Capacity Network Resource Interconnection Service, or its equivalent.

The ISO-estimated Seasonal Qualified Capacity Values shall be based on technical data requirements for recently commercial resources identified in the Qualification Data Submission Package. The Qualification Data Submission Package of resources seeking ISO-estimated Seasonal Qualified Capacity Values shall include a description of the as-built status of the resource at time of submission, including whether the resource is fully or partially operational. For those resources seeking ISO-estimated

Seasonal Qualified Capacity Values, the Qualification Data Submission Package must be submitted to the ISO by the Lead Market Participant by the Qualification Data Submission Deadline for the Annual Capacity Auction, or 30 days prior to the relevant monthly Capacity Demonstration Deadline, with the submission updated at the time of the Capacity Demonstration Deadline to reflect the as-built status of the resource. Resources satisfying the provisions of this Section III.15.2.6(d) shall be deemed to have demonstrated Commercial Capacity.

Resources seeking ISO-estimated Seasonal Qualified Capacity Values that have completed the relevant audit described in III.15.2.6(c) for only one season may elect to use the ISO-estimated Seasonal Qualified Capacity Values for one or both seasons. The ISO-estimated Seasonal Qualified Capacity Values may constitute a resource's Seasonal Qualified Capacity Value for up to one year after issuance, but shall be valid for no longer than one year after a resource becomes fully operational. A Lead Market Participant may request replacement of ISO-estimated Seasonal Qualified Capacity Values once the relevant seasonal audit has been completed.

III.15.2.7. Seasonal Qualified Capacity Values and Challenge Process.

- (a) Following the April Capacity Demonstration Deadline, for each Capacity Resource qualified to participate in an Annual Capacity Auction, the ISO shall notify the Lead Market Participant of the resource's summer Qualified Capacity and winter Qualified Capacity, calculated in accordance with Section III.15.3, and the Load Zone in which the resource is located. This notification will be provided by the Seasonal Qualified Capacity Notification Date specified in the Capacity Auction Calendar.
- (b) If the Lead Market Participant believes that the ISO has made a mathematical error in calculating the summer Qualified Capacity or winter Qualified Capacity for a Capacity Resource, then the Lead Market Participant must notify the ISO within five calendar days of the Seasonal Qualified Capacity Notification Date.
- (c) If a Capacity Resource's summer Qualified Capacity has been subject to a significant decrease pursuant to Section III.15.3.6, the Lead Market Participant may submit a restoration plan in accordance with Section III.15.3.6(b) within five calendar days of the Seasonal Qualified Capacity Notification Date.
- (d) The ISO shall notify the Lead Market Participant of the outcome of any challenge submitted under (b) above or of its determination regarding the sufficiency of a restoration plan submitted under (c)

above, by the date specified in the Capacity Auction Calendar for such responses. In assessing the sufficiency of a restoration plan, the ISO shall determine whether the plan provides sufficient information to support the reasonable likelihood of the resource providing capacity consistent with its summer Qualified Capacity value by the start of the Capacity Commitment Period.

III.15.2.8. Offers Composed of Separate Resources (Composite Offers).

Separate resources seeking to participate together in an Annual Capacity Auction shall submit a Composite Offer Form no later than the Composite Offer Deadline, which shall be approximately two business days prior to the auction as specified in the Capacity Auction Calendar, with the exception that Distributed Energy Capacity Resources may not participate in composite offers. Composite offers may not be modified or withdrawn after the Composite Offer Deadline. Composite offers must meet the following conditions:

- (a) In all months of the summer period of the Capacity Commitment Period, only one resource may be used to supply the amount of capacity offered during the entire summer period. In all months of the winter period of the Capacity Commitment Period, multiple resources may be combined to supply the amount of capacity offered, provided that: (i) the resources combined meet the amount of the offer in all months of the winter period; and (ii) to combine for a month, that month must be a winter month for both the summer resource and the resource combining with that summer resource in that month.
- (b) Each resource that is part of a composite offer must qualify in accordance with all of the provisions of Section III.15.2 applicable to that resource type. A composite offer participates in the Annual Capacity Auction in accordance with the resource type of the resource providing capacity in the summer period.
- (c) The summer Qualified Capacity of a composite offer shall be the summer Qualified Capacity of the single resource that will provide the Capacity Supply Obligation during the summer period. If the summer Qualified Capacity of an offer composed of separate resources is greater than the winter capacity for any month, then the provisions of Section III.15.3.7 shall apply, even where one or more of the resources that are part of the offer composed of separate resources is an Intermittent Power Resource. If the winter capacity of the composite offer in any month is higher than the summer Qualified Capacity, then the capacity offered from the winter resources will be reduced pro-rata to equal the summer Qualified Capacity.

(d) Composite offers are subject to the locational restrictions specified in the following table:

		Location of Summer Resource			
		Import-Constrained Capacity Zone	Rest-of-Pool Capacity Zone	Export-Constrained Capacity Zone	Nested Export-Constrained Capacity Zone
Location of Winter Resource	Import-Constrained Capacity Zone	Eligible (within same Capacity Zone)	Eligible	Eligible	Eligible
	Rest-of-Pool Capacity Zone	Ineligible	Eligible	Eligible	Eligible
	Export-Constrained Capacity Zone	Ineligible	Ineligible	Eligible (within same Capacity Zone)	Eligible (within same Capacity Zone where nested export-constrained Capacity Zone is located)
	Nested Export-Constrained Capacity Zone	Ineligible	Ineligible	Ineligible	Eligible (within same Capacity Zone)

III.15.2.9. Self-Supplied Capacity.

Where a load serving entity elects to designate all or a portion of its Capacity Load Obligation as self-supplied, the load serving must make such designation to the ISO during the self-supply designation window, as published in the Capacity Auction Calendar on the ISO's website. The load serving entity's designation shall specify the MW amount and Lead Market Participant providing the self-supplied capacity. During the Annual Capacity Auction Offer Window, the Lead Market Participant supplying such capacity shall confirm the load serving entity's self-supply designation by specifying each Self-Supplied Capacity Resource and the MW amount of self-supplied capacity in its Capacity Offer. A Generating Capacity Resource or an Import Capacity Resource may be designated as a Self-Supplied Capacity Resource. A Distributed Energy Capacity Resource may only designate its net injection capability as a Self-Supplied Capacity Resource. All self-supplied capacity shall be subject to the eligibility and locational requirements in this Section III.15.2.9. If designated as a Self-Supplied Capacity Resource the resource will clear in the Annual Capacity Auction as described in Section III.15.4 and, with

the exception of demand programs for Self-Supplied Capacity Resources, shall offset an equal amount of the load serving entity's Capacity Load Obligation in the Capacity Commitment Period. A load serving entity seeking to self-supply using a Demand Capacity Resource shall realize the benefit through the actual reduction in its annual system coincident peak load, shall not receive credit for a resource and, therefore, is not required to participate in the qualification process described in this Section III.15.2. All designations as a Self-Supplied Capacity Resource in the Annual Capacity Auction qualification process are binding.

III.15.2.9.1. Self-Supplied Capacity Eligibility.

Where all or a portion of a resource is designated as a Self-Supplied Capacity Resource, it shall also maintain its status as a Generating Capacity Resource, Import Capacity Resource, or Distributed Energy Capacity Resource and must satisfy the Annual Capacity Auction qualification process requirements set forth in the remainder of Section III.15.2 applicable to that resource type, in addition to the requirements of this Section III.15.2.9.1. Where a Capacity Offer composed of separate resources is submitted for a Self-Supplied Capacity Resource, all of the requirements and deadlines specified in Section III.15.2.8 shall apply to that offer, in addition to the requirements of this Section III.15.2.9. The total quantity of capacity that a load serving entity designates as self-supplied capacity may not exceed the load serving entity's projected share of the Installed Capacity Requirement during the Capacity Commitment Period, which shall be calculated by determining the load serving entity's most recent percentage share of the Installed Capacity Requirement multiplied by the projected Installed Capacity Requirement for the commitment year. No resource may be designated as a Self-Supplied Capacity Resource for more MW than the lesser of that resource's summer Qualified Capacity and winter Qualified Capacity.

III.15.2.9.2. Locational Requirements for Self-Supplied Capacity Resources.

In order to participate in the Annual Capacity Auction as a Self-Supplied Capacity Resource for a load in an import-constrained Capacity Zone, the Self-Supplied Capacity Resource must be located in the same Capacity Zone as the associated load, unless the Self-Supplied Capacity Resource is a pool-planned unit or other unit with a special allocation of Capacity Transfer Rights. In order to participate in the Annual Capacity Auction as a Self-Supplied Capacity Resource in an export-constrained Capacity Zone for a load outside that export-constrained Capacity Zone, the Self-Supplied Capacity Resource must be a pool-planned unit or other unit with a special allocation of Capacity Transfer Rights.

III.15.2.10. Publication of Annual Qualified Capacity Values for Annual Capacity Auction.

The ISO shall provide Annual Qualified Capacity values to Lead Market Participants of each Capacity Resource participating in an Annual Capacity Auction one business day before the opening of the Annual Capacity Auction Offer Window.

III.15.2.11. Publication of Offer Information.

- (a) For each Capacity Offer, the quantity and Load Zone (or interface, as applicable) in which the resource is located will be published to the ISO's website no later than 15 days after the Annual Capacity Auction is conducted.
- (b) For Capacity Offers from Import Capacity Resources, the name of submitter, quantity, and interface shall be published to the ISO's website no later than 15 days after the Annual Capacity Auction is conducted.
- (c) The name of each Lead Market Participant submitting Capacity Offers, as well as the number of Capacity Offers submitted by each Lead Market Participant, shall be published to the ISO's website no later than 15 calendar days after the issuance of Advisory Qualified Capacity Values. Authorized Persons of Authorized Commissions will be provided confidential access to full information about posted Capacity Offers upon request pursuant to Section 3.3 of the ISO New England Information Policy.

III.15.3. Capacity Resource Accreditation.

Pursuant to the provisions of this Section III.15.3, the ISO shall determine a summer Qualified Capacity, a winter Qualified Capacity, an Annual Qualified Capacity and, where applicable, a Monthly Qualified Capacity for each Generating Capacity Resource, Import Capacity Resource, Demand Capacity Resource, and Distributed Energy Capacity Resource. A Capacity Resource's Seasonal Qualified Capacity Values shall not exceed its seasonal Capacity Network Resource Interconnection Service or equivalent, or Capacity Network Import Interconnection Service, as applicable. Qualified Capacity for resources that have previously received a Capacity Supply Obligation in an Annual Capacity Auction or a Forward Capacity Auction shall not exceed the resource's highest previously received Capacity Supply Obligation unless the resource has demonstrated and qualified the additional capacity pursuant to Section III.15.2.4.1.

Qualified Capacity values for resources that have never previously obtained a Capacity Supply Obligation in an Annual Capacity Auction or a Forward Capacity Auction shall be calculated pursuant to Section III.15.3.1. Qualified Capacity for resources that have previously received a Capacity Supply Obligation in an Annual Capacity Auction or a Forward Capacity Auction shall be calculated pursuant to Sections III.15.3.2 through III.15.3.5.

III.15.3.1. Qualified Capacity for Resources Never Previously Counted as Capacity.

III.15.3.1.1. Resources Never Previously Counted as Capacity.

The summer and winter Qualified Capacity of a Capacity Resource that has never previously received a Capacity Supply Obligation in an Annual Capacity Auction or Forward Capacity Auction, or is otherwise treated as such pursuant to the terms of this Section III.15, shall be determined in accordance with the capacity demonstration requirements set forth in Section III.15.2.6, as specified below.

To determine the Seasonal Qualified Capacity Values of a Generating Capacity Resource that is not an Intermittent Power Resource that has never previously received a Capacity Supply Obligation in an Annual Capacity Auction or Forward Capacity Auction, and has demonstrated commercial capacity pursuant to Section III.15.2.6(c)(i), the ISO shall use the Section III.1.5.1.2(c) audit results. The annual and Monthly Qualified Capacity of such a resource shall be determined pursuant to Section III.15.3.2.3 and III.15.3.2.4, respectively.

To determine the Seasonal Qualified Capacity Values of a Generating Capacity Resource that is an Intermittent Power Resource that has never previously received a Capacity Supply Obligation in an Annual Capacity Auction or Forward Capacity Auction, and has demonstrated commercial capacity pursuant Section III.15.2.6(c)(ii), the ISO shall use the Section III.1.5.1.3 audit results. The annual and Monthly Qualified Capacity of such a resource shall be determined pursuant to Section III.15.3.2.3 and Section III.15.3.2.4, respectively.

To determine the Seasonal Qualified Capacity Values of an Active Demand Capacity Resource that has never previously received a Capacity Supply Obligation in an Annual Capacity Auction or Forward Capacity Auction, and has demonstrated commercial capacity pursuant III.15.2.6(c)(iii), the ISO shall use the Section III.1.5.1.3.1 audit results. To determine the Seasonal Qualified Capacity Values of a Demand Capacity Resource other than an Active Demand Capacity Resource that has never previously received a Capacity Supply Obligation in an Annual Capacity Auction or Forward Capacity Auction, and has demonstrated commercial capacity pursuant III.15.2.6(c)(iv), the ISO shall use the Section III.15.7.1.5.4 audit results. The annual and Monthly Qualified Capacity of such resources shall be determined pursuant to Sections III.15.3.4.2 and III.15.3.4.3, respectively.

To determine the Seasonal Qualified Capacity Values of a Distributed Energy Capacity Resource that has never previously received a Capacity Supply Obligation in an Annual Capacity Auction or Forward Capacity Auction, and has demonstrated commercial capacity pursuant III.15.2.6(c)(v), the ISO shall use the audit results specified therein for the corresponding asset type. The annual and Monthly Qualified Capacity of such a resource shall be determined pursuant to III.15.3.5.2 and III.15.3.5.3, respectively.

To determine the Seasonal Qualified Capacity Values of an Import Capacity Resource that has never previously received a Capacity Supply Obligation in an Annual Capacity Auction or Forward Capacity Auction, and has demonstrated commercial capacity pursuant Section III.15.2.6(c)(vi), the ISO shall use the performance data results specified therein. The annual and monthly Qualified Capacity of such a resource shall be determined pursuant to III.15.3.3.

To determine the Seasonal Qualified Capacity Values of a resource that has never previously received a Capacity Supply Obligation in an Annual Capacity Auction or Forward Capacity Auction, and that has elected to demonstrate commercial capacity pursuant Section III.15.2.6(d), the ISO shall use the values developed pursuant to Section III.15.2.6(d). The annual Qualified Capacity of such a resource shall be

determined pursuant to Section III.15.3.2.3, Section III.15.3.4.2, or Section III.15.3.5.2, as applicable to the relevant resource type. The Monthly Qualified Capacity of such a resource shall be determined pursuant to Section III.15.3.2.4, III.15.3.4.3, or Section III.15.3.5.3, as applicable to the relevant resource type.

III.15.3.2 Qualified Capacity for Generating Capacity Resources.

The summer, winter, annual, and monthly Qualified Capacity for Generating Capacity Resources that have previously received a Capacity Supply Obligation in an Annual Capacity Auction or Forward Capacity Auction shall be determined pursuant to this Section III.15.3.2.

III.15.3.2.1 Summer Qualified Capacity.

(a) For the purpose of Annual Capacity Auction qualification, the summer Qualified Capacity of a Generating Capacity Resource that is not an Intermittent Power Resource shall be equal to the median of that Generating Capacity Resource's summer Seasonal Claimed Capability ratings from the most recent five years, as of the Capacity Demonstration Deadline each year, with only positive summer ratings included in the median calculation. Where a Generating Capacity Resource has fewer than five summer Seasonal Claimed Capability ratings, then the summer Qualified Capacity for that Generating Capacity Resource shall be equal to the median of all the Generating Capacity Resource's previous summer Seasonal Claimed Capability ratings, as of the Capacity Demonstration Deadline of each year, with only positive summer ratings included in the median calculation.

(b) For the purpose of Annual Capacity Auction qualification, the summer Qualified Capacity of a Generating Capacity Resource that is an Intermittent Power Resource shall be the average of the median of the Intermittent Power Resource's net output during Summer Intermittent Reliability Hours for each of the previous five summer periods. If there are fewer than five full summer periods since the Intermittent Power Resource achieved Capacity Market Commercial Operation or FCM Commercial Operation, the summer Qualified Capacity of such resource shall be the average of the median of the Intermittent Power Resource's net output during Summer Intermittent Reliability Hours in each of the previous summer periods, or portion thereof, since the Intermittent Power Resource achieved Capacity Market Commercial Operation or FCM Commercial Operation. The Summer Intermittent Reliability Hours shall be hours ending 1400 through 1800 each day of the summer period (June through September) and all summer period hours in which there was a system-wide Capacity Scarcity Condition, and for Intermittent Power

Resources in an import-constrained Capacity Zone, all summer period hours in which there was a Capacity Scarcity Conditions in that Capacity Zone.

III.15.3.2.2. Winter Qualified Capacity.

(a) For the purpose of Annual Capacity Auction qualification, the winter Qualified Capacity of a Generating Capacity Resource that is not an Intermittent Power Resource shall be equal to the median of that Generating Capacity Resource's winter Seasonal Claimed Capability ratings from the most recent five years, as of the Capacity Demonstration Deadline of each year, with only positive winter ratings included in the median calculation. Where a Generating Capacity Resource has fewer than five winter Seasonal Claimed Capability ratings, then the winter Qualified Capacity for that Generating Capacity Resource shall be equal to the median of all the Generating Capacity Resource's previous winter Seasonal Claimed Capability ratings, as of the Capacity Demonstration Deadline of each year, with only positive winter ratings included in the median calculation.

(b) For the purpose of Annual Capacity Auction qualification, the winter Qualified Capacity of a Generating Capacity Resource that is an Intermittent Power Resource shall be the average of the median of the Intermittent Power Resource's net output during Winter Intermittent Reliability Hours for each of the previous five summer periods. If there are fewer than five full summer periods since the Intermittent Power Resource achieved Capacity Market Commercial Operation or FCM Commercial Operation, the winter Qualified Capacity of such resource shall be the average of the median of the Intermittent Power Resource's net output during Winter Intermittent Reliability Hours in each of the previous winter periods, or portion thereof, since the Intermittent Power Resource achieved Capacity Market Commercial Operation or FCM Commercial Operation. The Winter Intermittent Reliability Hours shall be hours ending 1800 and 1900 each day of the winter period (October through May) and all winter period hours in which there was a system-wide Capacity Scarcity Condition, and for Intermittent Power Resources in an import-constrained Capacity Zone, all winter period hours in which there was a Capacity Scarcity Conditions in that Capacity Zone.

III.15.3.2.3. Annual Qualified Capacity.

The Annual Qualified Capacity of a Generating Capacity Resource that is not an Intermittent Power Resource shall be the lesser of the resource's summer Qualified Capacity and winter Qualified Capacity, as adjusted to account for applicable offers composed of separate resources. The Annual Qualified Capacity of a Generating Capacity Resource that is an Intermittent Power Resource shall be the

resource's summer Qualified Capacity, as adjusted to account for applicable offers composed of separate resources.

III.15.3.2.4. Monthly Qualified Capacity.

The Monthly Qualified Capacity of a Generating Capacity Resource shall be the resource's most recent Seasonal Claimed Capability value for the season applicable to the relevant month; for those Generating Capacity Resources that elect use of ISO-estimated Seasonal Qualified Capacity Values pursuant to III.15.2.6(d), the Monthly Qualified Capacity shall be the ISO-estimated Seasonal Qualified Capacity Value for the season applicable to the relevant month.

III.15.3.3. Qualified Capacity for Import Capacity Resources.

The summer, winter, annual, and monthly Qualified Capacity of an Import Capacity Resource backed by an External Control Area shall be based on the values and data submitted during the qualification process, subject to ISO review and verification. The summer, winter, annual, and monthly Qualified Capacity of an Import Capacity Resource backed by one or more External Resources shall be based on the data submitted during the qualification process, subject to ISO review and verification, and calculated based on the summer and winter Qualified Capacity of the resources underlying the Import Capacity Resource, in accordance with Sections III.15.3.2.1 and III.15.3.2.2.

III.15.3.4. Qualified Capacity for Demand Capacity Resources.

The summer, winter, annual, and monthly Qualified Capacity for Demand Capacity Resources that have previously received a Capacity Supply Obligation in an Annual Capacity Auction or Forward Capacity Auction shall be determined pursuant to this Section III.15.3.4.

III.15.3.4.1. Summer and Winter Qualified Capacity.

(a) For Demand Capacity Resources composed of Energy Efficiency measures, the summer (or winter, as applicable) Qualified Capacity shall equal the sum of the summer (or winter, as applicable) demand reduction values of the installed Energy Efficiency measures as of the Capacity Demonstration Deadline (excluding any capacity that will retire or deactivate, or whose Measure Life will expire, prior to the start of the applicable season of the relevant Capacity Commitment Period, and increased by average avoided peak transmission and distribution losses).

(b) For Demand Capacity Resources other than those composed of Energy Efficiency measures, the summer and winter Qualified Capacity shall equal the median of the resource's Seasonal DR Audit value or Passive DR Audit value from the five most recent years, for the relevant season, increased by average avoided peak transmission and distribution losses. Where a Demand Capacity Resource has fewer than five summer or winter Seasonal Audit Values, as applicable, then the summer (or winter) Qualified Capacity for that Demand Capacity Resource shall be equal to the median of all the resource's previous summer (or winter) Seasonal Audit Values, as of the Capacity Demonstration Deadline of each year, with only positive summer (or winter) values included in the median calculation.

III.15.3.4.2. Annual Qualified Capacity.

The Annual Qualified Capacity of a Demand Capacity Resource shall equal the lesser of the resource's summer Qualified Capacity and winter Qualified Capacity, as adjusted to account for applicable offers composed of separate resources.

III.15.3.4.3 Monthly Qualified Capacity.

The Monthly Qualified Capacity of a Demand Capacity Resource, other than a resource composed of Energy Efficiency measures, shall equal its most recent Seasonal DR Audit value or Passive DR Audit value for the season applicable to the relevant month; for those Demand Capacity Resources that elect use of ISO-estimated Seasonal Qualified Capacity Values pursuant to III.15.2.6(d), the Monthly Qualified Capacity shall be the ISO-estimated Seasonal Qualified Capacity Value for the season applicable to the relevant month.

The Monthly Qualified Capacity of a Demand Capacity Resource composed of Energy Efficiency measures shall equal the most recently-determined summer or winter demand reduction values of the resource's installed Energy Efficiency measures (excluding any capacity that will retire, deactivate, or whose Measure Life will expire, prior to the start of the relevant Obligation Month, and increased by average avoided peak transmission and distribution losses).

III.15.3.5. Qualified Capacity of Distributed Energy Capacity Resources.

The summer, winter, annual, and monthly Qualified Capacity for Distributed Energy Capacity Resources that have previously received a Capacity Supply Obligation in an Annual Capacity Auction or Forward Capacity Auction shall be determined pursuant to this Section III.15.3.5.

III.15.3.5.1. Summer and Winter Qualified Capacity.

The summer (or winter, as applicable) Qualified Capacity of a Distributed Energy Capacity Resource that is not an Intermittent Power Resource shall equal the median of the resource's summer (or winter) Seasonal Audit Value from the five most recent years, as of the Capacity Demonstration Deadline of each year, with only positive summer (or winter) values included in the median calculation. Where a Distributed Energy Capacity Resource has fewer than five summer (or winter) Seasonal Audit Values, then the summer (or winter) Qualified Capacity for that Distributed Energy Capacity Resource shall be equal to the median of the resource's previous summer (or winter) Seasonal Audit Values, as of the Capacity Demonstration Deadline of each year, with only positive summer (or winter) values included in the median calculation.

The summer or winter Qualified Capacity of Distributed Energy Capacity Resources that are Intermittent Power Resources shall be determined in accordance with the rules for Generating Capacity Resources that are Intermittent Power Resources in Section III.15.3.2.

III.15.3.5.2. Annual Qualified Capacity.

Annual Qualified Capacity for a Distributed Energy Capacity Resource shall be the lesser of the resource's summer Qualified Capacity and winter Qualified Capacity, unless the Distributed Energy Capacity Resource is an Intermittent Power Resource, in which case the Annual Qualified Capacity shall be equal to the resource's summer Qualified Capacity.

III.15.3.5.3. Monthly Qualified Capacity.

The Monthly Qualified Capacity of a Distributed Energy Capacity Resource shall equal the most recent Seasonal DECR Audit for the season applicable to the relevant month; for those Distributed Energy Capacity Resources that elect use of ISO-estimated Seasonal Qualified Capacity Values pursuant to III.15.2.6(d), the Monthly Qualified Capacity shall be the ISO-estimated Seasonal Qualified Capacity Value for the season applicable to the relevant month.

III.15.3.6. Adjustment for Significant Decreases in Capacity.

For a Generating Capacity Resource, Import Capacity Resource backed by an External Resource, Distributed Energy Capacity Resource, or Demand Capacity Resource, if the most recent summer Seasonal Claimed Capability rating, summer season Import Capacity Resource performance data submitted pursuant to Section III.15.2.1.1.1, summer Seasonal DECR Audit Value, summer Seasonal DR

Audit Value, or summer Passive DR Audit Value as of the Annual Capacity Auction's Capacity Demonstration Deadline is below the resource's Qualified Capacity by more than the threshold defined in the following formula:

$$Threshold = \min[\max(10\% \times QC_{Summer}, 2 MW), 10 MW]$$

Where,

QC_{Summer} = the resource's summer Qualified Capacity

then the Lead Market Participant must elect one of the two treatments set forth in this Section III.15.3.6 by the close of the Seasonal Qualified Capacity Challenge and Restoration Plan Submission Window. If the Lead Market Participant makes no election, or elects treatment pursuant to Section III.15.3.6(b) and fails to meet the associated requirements, then the treatment described in Section III.15.3.6(a) shall apply.

(a) A Lead Market Participant may elect, for the purposes of the Annual Capacity Auction only, to have the resource's summer Qualified Capacity set to the most recent summer Seasonal Claimed Capability rating, summer Seasonal DECR Audit Value, Seasonal DR Audit Value, or Passive DR Audit Value as of the Capacity Demonstration Deadline, provided that the Lead Market Participant has furnished evidence regarding the cause of the de-rating.

(b) A Lead Market Participant may elect: (i) to submit a restoration plan describing the measures that will be taken and showing that the Generating Capacity Resource, Import Capacity Resource backed by an External Resource, Demand Capacity Resource, or Distributed Energy Capacity Resource will be able to provide an amount of capacity consistent with the summer Qualified Capacity as calculated pursuant to Section III.15.3.2, Section III.15.3.3, Section III.15.3.4, or Section III.15.3.5 by the start of the relevant Capacity Commitment Period; and (ii) to have the Generating Capacity Resource, Demand Capacity Resource, or Distributed Energy Capacity Resource's summer Qualified Capacity remain as calculated pursuant to Section III.15.3.2, Section III.15.3.3, Section III.15.3.4, or Section III.15.3.5 for the Annual Capacity Auction. The ISO shall review submitted restoration plans in accordance with the requirements and timelines set forth in Section III.15.2.7.

III.15.3.7. Resources Having a Higher Summer Qualified Capacity than Winter Qualified Capacity.

Where a Generating Capacity Resource (other than an Intermittent Power Resource), Demand Capacity Resource, or Import Capacity Resource has a summer Qualified Capacity that exceeds its winter

Qualified Capacity, both as calculated pursuant to this Section III.15.3, then that resource must either: (i) offer its summer Qualified Capacity as part of an offer composed of separate resources, in accordance with Section III.15.2.8; or (ii) have its Annual Qualified Capacity administratively set by the ISO to the lesser of its summer Qualified Capacity and winter Qualified Capacity.

Where a Distributed Energy Capacity Resource (other than an Intermittent Power Resource) has a summer Qualified Capacity that exceeds its winter Qualified Capacity, both as calculated pursuant to this Section III.15.3, then that resource must have its Annual Qualified Capacity administratively set by the ISO to the lesser of its summer Qualified Capacity and winter Qualified Capacity.

III.15.4. Annual Capacity Auction.

III.15.4.1 Capacity Offers.

Lead Market Participants submitting Capacity Offers in the Annual Capacity Auction shall submit Capacity Offers for the Capacity Commitment Period associated with the Annual Capacity Auction as specified in this Section III.15.4.1.

- (a) Each Capacity Offer shall be associated with a Capacity Resource for which an Annual Qualified Capacity value has been established for the Annual Capacity Auction through the Annual Capacity Auction qualification process set forth in Sections III.15.2 and III.15.3.
- (b) Capacity Offers must be submitted during the Annual Capacity Auction Offer Window, the dates of which will be specified as published in the Capacity Auction Calendar. Capacity Offers are not considered final until the close of the Annual Capacity Auction Offer Window and may be amended or corrected as necessary until such time as the window closes.
- (c) If a Lead Market Participant fails to submit a Capacity Offer for a resource subject to the requirements of Section III.A.22.1, the ISO shall enter a Capacity Offer for the resource into the Annual Capacity Auction in accordance with Section III.A.22.1(d).
- (d) Each Capacity Offer must specify at least one price-quantity pair, which consists of one price, denominated in \$/kW-month to an accuracy of at most three digits to the right of the decimal point, and a quantity value, expressed in MW to an accuracy of up to three decimal places. The Capacity Offer may specify up to ten price-quantity pairs, where each such pair represents the total amount of capacity offered from the Capacity Resource at the price specified. If more than one price-quantity pair is submitted, the price-quantity pairs must specify prices and quantity values in such a way that, when the price-quantity pairs are ordered from lowest price to highest price, the quantity value in each price-quantity pair increases with each successive, higher-priced price-quantity pair. The price-quantity pair with the greatest specified price must include the Capacity Resource's total Annual Qualified Capacity. The Capacity Offer must not contain any offer prices less than \$0.00/kW-month or greater than the Capacity Auction Offer Price Cap, unless otherwise allowed pursuant to Section III.A.22.2.3 and subsection (e) of this Section III.15.4.1 or required by Section III.A.21 and subsection (f) of this Section III.15.4.1. The

Capacity Offer must not specify a total MW quantity value that exceeds the Capacity Resource's Annual Qualified Capacity.

(e) A price-quantity pair in a Capacity Offer must not specify a price above the Capacity Offer Price Threshold, except under the following circumstances:

(i) the Lead Market Participant for the Capacity Resource submitted the price-quantity pair to the Internal Market Monitor as part of a Proposed Capacity Offer, pursuant to Section III.A.22.2.2;

(ii) the Internal Market Monitor determined an Allowable Capacity Offer Price relative to the price-quantity pair pursuant to Section III.A.22.2.3; and

(iii) the specified price in the Capacity Offer does not exceed the price specified in the price-quantity pair reviewed by the Internal Market Monitor.

(f) For capacity included in a Capacity Offer that is subject to a Capacity Offer Floor Price pursuant to Section III.A.21.3, the price specified must not be less than the Capacity Offer Floor Price.

(g) A Capacity Offer may specify a Rationing Minimum Limit up to which the offer may not be rationed and must be accepted or rejected in whole. Without such indication, offers shall be rationable up to the total MW quantity in the offer that is priced at or below the Capacity Offer Price Threshold, subject to the auction clearing constraint described in Section III.15.4.2.2(d). The lowest priced price-quantity pair in a Capacity Offer that specifies a Rationing Minimum Limit must specify a quantity value equal to or greater than the specified Rationing Minimum Limit. Notwithstanding the foregoing, a Capacity Offer for an Import Capacity Resource may only specify a Rationing Minimum Limit pursuant to this subsection (g) if the Import Capacity Resource is associated with an Elective Transmission Upgrade, as described in Section III.15.2.1.1.1.

(h) If the Capacity Offer specifies any price above the Capacity Offer Price Threshold, the Capacity Offer may elect to have the Above-Threshold Offer Segment be treated as rationable, subject to any Rationing Minimum Limit specified pursuant to subsection (g). Without such an election, the Above-Threshold Offer Segment will be treated as non-rationable and accepted or rejected in whole.

Notwithstanding the foregoing, a Capacity Offer for an Import Capacity Resource may only elect rationability for the Above-Threshold Offer Segment pursuant to this subsection (h) if the Import Capacity Resource is associated with an Elective Transmission Upgrade, as described in Section III.15.2.1.1.1.

(i) In order to give effect to a self-supply designation made by a load serving entity pursuant to Section III.15.2.9 for any portion of the Capacity Resource's Annual Qualified Capacity, the Capacity Offer for such resource must (i) identify the load serving entity for which its capacity will serve as self-supplied capacity and the MW quantity of self-supplied capacity and (ii) include a price-quantity pair with an offer price of \$0.00/kW-month that includes the amount of such capacity, unless such capacity is subject to a Capacity Offer Floor Price. If the self-supplied capacity is subject to a Capacity Offer Floor Price, then the price specified in the price-quantity pair including the self-supplied capacity must equal the Capacity Offer Floor Price.

(j) A Capacity Offer for a Generating Capacity Resource with a contract to export capacity during the Capacity Commitment Period must specify an Export Offer Segment and the interface over which the Export Offer Segment will be exported.

(k) A Lead Market Participant for a Capacity Resource that is subject to delayed deactivation pursuant to Sections II.52 and II.53 shall not enter a Capacity Offer for any capacity supplied by the Capacity Resource that is subject to delayed deactivation. The ISO shall enter such Capacity Resource's capacity subject to delayed deactivation into the Annual Capacity Auction at a price of \$0.00/kW-month.

(l) If a prior multi-year Capacity Supply Obligation and Capacity Clearing Price election for the Capacity Resource had been made pursuant to Section III.13.1.1.2.2.4 or Section III.13.1.4.1.1.2.7 for a Forward Capacity Auction, the Capacity Offer submitted for such Capacity Resource must include a price-quantity pair with an offer price of \$0.00/kW-month that includes the total amount of the resource's capacity that cleared subject to such election.

III.15.4.2. Conduct of the Annual Capacity Auction.

The ISO shall determine Capacity Supply Obligations and Capacity Clearing Prices for the Capacity Commitment Period by conducting the Annual Capacity Auction as described in this Section III.15.4.2.

III.15.4.2.1. Replacement of Specified Prices for Mitigation Purposes.

After the Annual Capacity Auction Offer Window, the ISO shall replace specified prices in submitted Capacity Offers as necessary, pursuant to Section III.A.22.2.4(c). Any such adjusted Capacity Offers shall be inputs for the Annual Capacity Auction.

III.15.4.2.2. Clearing of the Annual Capacity Auction.

(a) In determining Capacity Supply Obligations and Capacity Clearing Prices, the ISO shall employ an optimization algorithm that is designed to maximize social surplus in order to clear Capacity Offers, capacity entered into the auction by the ISO as described in Section III.15.4.1(k), and any Proxy Capacity Offers against the capacity demand curves calculated in accordance with Section III.15.1.1. In clearing Capacity Offers, the optimization algorithm shall take into account, as applicable, the inputs and constraints set forth in this Section III.15.4.2.2.

(b) The optimization algorithm shall take into account the following: (i) all price-quantity pairs in Capacity Offers for the Annual Capacity Auction submitted pursuant to Section III.15.4.1, subject to any adjustments made pursuant to Section III.15.4.2.1 and the constraint described in subsection (c) of this Section III.15.4.2.1; (ii) any Rationing Minimum Limits and rationability elections specified in Capacity Offers pursuant to Section III.15.4.1(g) and Section III.15.4.1(h), respectively; (iii) capacity from a Capacity Resource subject to delayed deactivation pursuant to Sections II.52 and II.53 at a default price of \$0.00/kW-month; (iv) the set of distinct Capacity Zones determined to be modeled in the Annual Capacity Auction pursuant to Section III.12.4; (v) the System-Wide Capacity Demand Curve calculated in accordance with Section 15.1.1.1; (vi) any Capacity Zone Demand Curves for import-constrained and export-constrained Capacity Zones, calculated in accordance with Sections 15.1.1.2 and 15.1.1.3, respectively; (vii) external interface limits calculated pursuant to Section III.12.10; and (viii) any Proxy Capacity Offers for the Annual Capacity Auction as determined pursuant to Section III.A.24.7, which shall be treated as non-rationable.

(c) The optimization algorithm shall not take into account price-quantity pairs in Capacity Offers that specify a price that exceeds the Capacity Auction Offer Price Cap.

(d) Capacity entered into the Annual Capacity Auction at a price of \$0.00/kW-month shall clear the auction.

- (e) A Capacity Offer that specifies a Rationing Minimum Limit pursuant to Section III.15.4.1(g) shall not clear at quantities less than the specified Rationing Minimum Limit, and Above-Threshold Offer Segments that are non-rationable pursuant to Section III.15.4.1(h) shall not clear at quantities less than the MW quantity of the segment.
- (f) For an Export Offer Segment specified in a Capacity Offer that indicates a Generating Capacity Resource's contract to export capacity over an external interface connected to an import-constrained Capacity Zone from another Capacity Zone, or over an external interface connected to the Rest-of-Pool Capacity Zone from an export-constrained Capacity Zone, the ISO shall model the Export Offer Segment as though that quantity of capacity were located in the Capacity Zone where the external interface identified in the Capacity Offer is located and adjust Capacity Zone Demand Curves as necessary to reflect such modeling.
- (g) In determining the clearing result that accounts for auction inputs and satisfies all applicable constraints, the optimization may select from among multiple possible alternative clearing results that satisfy such requirements, including clearing results where a Capacity Offer with a specified price below the Capacity Clearing Price does not clear.
- (h) Where the clearing of the Annual Capacity Auction either system-wide or in a single Capacity Zone results in a tie (that is, where two or more resources offer sufficient capacity at prices that would clear the auction at the same minimum costs), the following rules shall apply in sequence, as necessary, to determine clearing: (i) if multiple Capacity Offers may be rationed, they will be rationed proportionately; and (ii) the Capacity Offer associated with the Lead Market Participant having the lower market share in the capacity auction shall be cleared.
- (i) Subject to the other conditions in this Section III.15.4.2.2, the Capacity Clearing Price for the Rest-of-Pool Capacity Zone shall be the price specified by the System-Wide Capacity Demand Curve for the system-wide capacity entered into the Annual Capacity Auction that maximizes social surplus. In no case, however, shall the Capacity Clearing Price for the Rest-of-Pool Capacity Zone be less than the highest price specified in an offer for capacity that clears the auction, excluding any capacity that, due to its specified price, would not have cleared but for the fact that it is located within an import-constrained Capacity Zone that has a cleared quantity of capacity equal to or less than the truncation point for the zone's Capacity Zone Demand Curve.

(j) Subject to the other conditions in this Section III.15.4.2.2, the Capacity Clearing Price for an import-constrained Capacity Zone shall be the greater of:

(i) the sum of (1) the price specified by the Capacity Zone Demand Curve for the import-constrained Capacity Zone for the quantity of capacity within the zone that clears the auction and (2) the Capacity Clearing Price for the Rest-of-Pool Capacity Zone; and

(ii) the highest price specified in a Capacity Offer for capacity that is supplied from a resource in the import-constrained Capacity Zone and that clears the auction.

(k) Subject to the other conditions in this Section III.15.4.2.2, the Capacity Clearing Price for an export-constrained Capacity Zone that is not a nested export-constrained Capacity Zone, shall be the greater of:

(i) the sum of (1) the price specified by the Capacity Zone Demand Curve for the export-constrained Capacity Zone for the quantity of capacity within the zone that clears the auction and (2) the Capacity Clearing Price for the Rest-of-Pool Zone; and

(ii) the highest price specified in a Capacity Offer for capacity that is supplied from a resource in the export-constrained Capacity Zone and that clears the auction.

(l) Subject to the other conditions in this Section III.15.4.2.2, the Capacity Clearing Price for an export-constrained Capacity Zone that is a nested export-constrained Capacity Zone, shall be the greater of:

(i) the sum of (1) the price specified by the Capacity Zone Demand Curve for the export-constrained Capacity Zone for the quantity of capacity within the zone that clears the auction and (2) the Capacity Clearing Price for the Capacity Zone in which the nested Capacity Zone is located; and

(ii) the highest price specified in a Capacity Offer for capacity that is supplied from a resource in the export-constrained Capacity Zone and that clears the auction.

(m) The Capacity Clearing Price for the Rest-of-Pool Capacity Zone and the Capacity Clearing Price for an import-constrained Capacity Zone shall not exceed the Capacity Auction Offer Price Cap. The Capacity Clearing Price for an export-constrained Capacity Zone shall not be less than zero.

(n) Subject to the other conditions in this Section III.15.4.2.2, the Capacity Clearing Price for an interface between the New England Control Area and an external Control Area shall be equal to:

(i) if the quantity of capacity over the external interface that clears the auction is equal to the external interface limit for such interface, the highest price specified in a Capacity Offer for capacity that is supplied from a resource offering capacity over such external interface and that clears the auction; or

(ii) if the quantity of capacity over the external interface that clears the auction is less than the external interface limit for such interface, the Capacity Clearing Price for the Capacity Zone associated with the external interface.

III.15.4.2.3. Results of the Annual Capacity Auction.

(a) Annual Capacity Supply Obligations shall be awarded to Capacity Resources in accordance with the results of the Annual Capacity Auction clearing mechanics described in Section III.15.4.2.2. For Intermittent Power Resources, the Capacity Supply Obligation for months in the winter period (as described in Section III.15.2) shall be adjusted based on the winter Qualified Capacity as determined pursuant to Section III.15.3.2.2. Additional Capacity Supply Obligations may be awarded in accordance with Section III.15.4.2.4.

(b) The Capacity Clearing Prices in each Capacity Zone modeled in the Annual Capacity Auction shall be the clearing prices determined as a result of the Annual Capacity Auction clearing mechanics described in Section III.15.4.2.2.

III.15.4.2.4. Additional Clearing of Auction in the Event of Cleared Proxy Offers.

If any Proxy Capacity Offer entered into the Annual Capacity Auction clears and receives a Capacity Supply Obligation, the ISO shall conduct an additional run of the auction. This additional run shall use the same methodology described in Section III.15.4.2.2, except that the additional run shall (i) exclude all Proxy Capacity Offers and (ii) enter all other capacity that cleared in the primary run of the Annual

Capacity Auction at a price of \$0.00/kW-month. The additional run of the auction shall not affect the Capacity Clearing Prices of the primary run of the Annual Capacity Auction pursuant to Section III.15.4.2.2. Capacity (other than capacity still subject to a multi-year Capacity Commitment Period election as described in Sections III.13.1.1.2.2.4 and III.13.1.4.1.1.2.7) that receives a Capacity Supply Obligation as a result of the primary run of the Annual Capacity Auction shall be paid the Capacity Clearing Price in the Capacity Zone associated with the capacity during the associated Capacity Commitment Period. Where the additional run of the auction procures additional capacity, that additionally procured capacity shall be paid the price resulting from the additional run in the Capacity Zone associated with that additional capacity during the associated Capacity Commitment Period, and such price shall be equal to or greater than the price resulting from the primary run of the Annual Capacity Auction in that Capacity Zone.

III.15.4.3. Publication of Annual Capacity Auction Results.

As soon as practicable after the Annual Capacity Auction is complete, the ISO shall publish the results of that Annual Capacity Auction publicly on its website, including the set of Capacity Zones modeled in the auction, the Capacity Clearing Prices in each of those Capacity Zones, and a list of which resources received Capacity Supply Obligations in each Capacity Zone and the amount of those Capacity Supply Obligations. The published information shall identify Proxy Capacity Offers that cleared, if any, in the primary run of the Annual Capacity Auction.

III.15.5. Monthly Reconfiguration Auctions.

For each Capacity Commitment Period, the ISO shall conduct Monthly Reconfiguration Auctions as described in this Section III.15.5. Monthly Reconfiguration Auctions only permit the trading of Capacity Supply Obligations; load obligations are not traded in the Monthly Reconfiguration Auctions. Each reconfiguration auction shall use a static double auction (respecting the interface limits and capacity requirements modeled as specified in Section III.15.5.1) to clear supply offers (i.e., offers to assume a Capacity Supply Obligation) and demand bids (i.e., bids to shed a Capacity Supply Obligation) for each Capacity Zone included in the reconfiguration auction. Supply offers and demand bids will be modeled in the Capacity Zone where the associated resources are electrically interconnected. Resources that are able to meet the requirements in other Capacity Zones shall be allowed to clear to meet such requirements, subject to the constraints modeled in the auction.

III.15.5.1. Capacity Zones Included in Monthly Reconfiguration Auctions.

Each Monthly Reconfiguration Auction associated with a Capacity Commitment Period shall include each of, and only, the Capacity Zones and external interfaces modeled in the Annual Capacity Auction for that Capacity Commitment Period in accordance with Section III.15.4.2.2.

III.15.5.2. Participation in Monthly Reconfiguration Auctions.

Each supply offer and demand bid in a Monthly Reconfiguration Auction must be associated with a specific resource and must satisfy the requirements of this Section III.15.5.2. All resource types may submit supply offers and demand bids in reconfiguration auctions. In accordance with Section III.A.13.2, supply offers and demand bids submitted for Monthly Reconfiguration Auctions shall not be subject to mitigation by the Internal Market Monitor. Offers composed of separate resources may not participate in reconfiguration auctions. Resources with capacity subject to delayed deactivation pursuant to Sections II.52 and II.53 may not participate in reconfiguration auctions, unless otherwise authorized pursuant to the terms of a cost-of-service agreement of the type described in Section II.54.1. Participation in any reconfiguration auction is conditioned on full compliance with the applicable financial assurance requirements as provided in the ISO New England Financial Assurance Policy at the time of the offer and bid deadline. The offer and bid deadline for each Monthly Reconfiguration Auction shall be announced by the ISO no later than 10 Business Days prior to that deadline. Upon issuance of the monthly bilateral results for the associated Obligation Month, the ISO shall notify each resource of the amount of capacity that it may offer or bid in that monthly auction, as calculated pursuant to this Section III.15.5.2.

III.15.5.2.1. Supply Offers in Monthly Reconfiguration Auctions.

- (a) All supply offers in Monthly Reconfiguration Auctions shall be submitted by the Lead Market Participant, and shall specify the resource, the amount of capacity offered in MW, and the price, denominated in \$/kW-month.
- (b) A resource may not submit a supply offer for a Monthly Reconfiguration Auction unless a Monthly Qualified Capacity value has been established for the resource for the month associated with the Monthly Reconfiguration Auction pursuant to the qualification processes described in Sections III.15.2 and III.15.3.
- (c) The amount of capacity up to which a resource may submit a supply offer in a Monthly Reconfiguration Auction shall be the difference (but in no case less than zero) between (i) the resource's Monthly Qualified Capacity for the month associated with the auction, as determined pursuant to Section III.15.3 during the most recent qualification process for the resource; and (ii) the amount of capacity from that resource that is already subject to a Capacity Supply Obligation for that month.

III.15.5.2.2. Demand Bids in Monthly Reconfiguration Auctions.

- (a) All demand bids in Monthly Reconfiguration Auctions shall be submitted by the Lead Market Participant and shall specify the amount of capacity bid in MW and the price, denominated in \$/kW-month.
- (b) To submit a demand bid in a Monthly Reconfiguration Auction, a resource must have a Capacity Supply Obligation for the month associated with that Monthly Reconfiguration Auction.
- (c) Where capacity associated with a Self-Supplied Capacity Resource that cleared in the Annual Capacity Auction for the Capacity Commitment Period is offered in a Monthly Reconfiguration Auction, a resource acquiring a Capacity Supply Obligation in that Monthly Reconfiguration Auction shall not as a result become a Self-Supplied Capacity Resource.
- (d) Each demand bid submitted to the ISO for a Monthly Reconfiguration Auction shall be no greater than the amount of the resource's capacity that is already obligated for the month associated with that Monthly Reconfiguration Auction as of the offer and bid deadline for the auction.

III.15.5.3. Clearing Offers and Bids in Monthly Reconfiguration Auctions.

All supply offers and demand bids are rationable and may be cleared in whole or in part in Monthly Reconfiguration Auctions.

III.15.5.4. Conduct of Monthly Reconfiguration Auctions.

Prior to each month in the Capacity Commitment Period, the ISO shall conduct a Monthly Reconfiguration Auction for whole-month capacity commitments during that month. For each Monthly Reconfiguration Auction, the ISO shall employ an optimization algorithm that is designed to maximize social surplus in order to clear the supply offers against demand bids submitted for the auction. The truncation points for import-constrained Capacity Zones and export-constrained Capacity Zones specified in Section III.15.1.1.2 and Section III.15.1.1.3 and external interface limits established pursuant to Section III.12 shall be modeled as constraints in the auction. The System-Wide Capacity Demand Curve is not modeled in Monthly Reconfiguration Auctions.

III.15.5.5. Adjustment to Capacity Supply Obligations.

For each supply offer that clears in a Monthly Reconfiguration Auction, the resource's Capacity Supply Obligation for the month associated with the auction shall be increased by the amount of capacity that clears. For each demand bid that clears in a Monthly Reconfiguration Auction, the resource's Capacity Supply Obligation for the month associated with the auction shall be decreased by the amount of capacity that clears.

III.15.6. Bilateral Capacity Contracts.

Market Participants shall be permitted to enter into Capacity Supply Obligation Bilaterals, Capacity Load Obligation Bilaterals, and Capacity Performance Bilaterals in accordance with this Section III.15.6, with the ISO serving as Counterparty in each such transaction. Market Participants may not offset a Capacity Load Obligation with a Capacity Supply Obligation. To the extent necessary for the ISO's review and approval of any of the bilateral contracts described in this Section III.15.6, the ISO shall apply the Capacity Zones and external interfaces modeled as inputs and constraints in the Annual Capacity Auction for the applicable Capacity Commitment Period, as described in Section III.15.4.2.2. Resources with capacity subject to delayed deactivation pursuant to Sections II.52 and II.53 may not participate in Capacity Supply Obligation Bilaterals or Capacity Performance Bilaterals, unless otherwise authorized pursuant to the terms of a cost-of-service agreement of the type described in Section II.54.1.

III.15.6.1. Capacity Supply Obligation Bilaterals.

A Capacity Transferring Resource having a Capacity Supply Obligation and seeking to shed that obligation may enter into a Capacity Supply Obligation Bilateral transaction to transfer its Capacity Supply Obligation, in whole or in part, to a Capacity Acquiring Resource, or portion thereof, for a whole-month period during the Capacity Commitment Period, as described in this Section III.15.6.1.

III.15.6.1.1. Terms of and Participation in Capacity Supply Obligation Bilaterals.

- (a) Capacity Supply Obligation Bilaterals are available for monthly periods, and a Capacity Supply Obligation Bilateral must be coterminous with a calendar month.
- (b) The qualification of Capacity Acquiring Resources for participation in Capacity Supply Obligation Bilaterals is determined in the same manner as the qualification of resources submitting supply offers for Monthly Reconfiguration Auctions as specified in Section III.15.5.2.1(b). A resource that does not have a Monthly Qualified Capacity value established for the month covered by the Capacity Supply Obligation Bilateral may not submit a transaction as a Capacity Acquiring Resource for that month.
- (c) A Capacity Supply Obligation Bilateral may not transfer a Capacity Supply Obligation amount that is greater than the monthly Capacity Supply Obligation of the Capacity Transferring Resource. A Capacity Supply Obligation Bilateral may not transfer a Capacity Supply Obligation amount that is greater than the amount of unobligated Monthly Qualified Capacity of the Capacity Acquiring Resource for the month covered by the Capacity Supply Obligation Bilateral. For the purpose of this subsection (c), unobligated Monthly Qualified Capacity refers to the Monthly Qualified Capacity that was

determined pursuant to Section III.15.3 in the most recent qualification process for the resource prior to the submission of the Capacity Supply Obligation Bilateral to the ISO and that is not subject to a Capacity Supply Obligation.

(d) A resource, or a portion thereof, that has been designated as a Self-Supplied Capacity Resource may transfer the self-supplied portion of its Capacity Supply Obligation by means of Capacity Supply Obligation Bilateral. In such a case, however, the Capacity Acquiring Resource shall not become a Self-Supplied Capacity Resource as a result of the transaction.

(e) Capacity Supply Obligation Bilaterals are allowed between a Capacity Transferring Resource and a Capacity Acquiring Resource that are located within different Capacity Zones and across external interfaces modeled as part of the Annual Capacity Auction for the Capacity Commitment Period of the relevant monthly period, subject to the transmission interface limits between Capacity Zones and external interface limits, as described in Section III.15.6.1.4(b).

(f) Participation in any Capacity Supply Obligation Bilateral is conditioned on full compliance with the applicable financial assurance requirements as provided in the ISO New England Financial Assurance Policy at the time of submission to the ISO.

III.15.6.1.2. Timing of Submission and Prior Notification to the ISO.

The Lead Market Participant for either the Capacity Transferring Resource or the Capacity Acquiring Resource may submit a Capacity Supply Obligation Bilateral to the ISO in accordance with posted schedules. The ISO will issue a schedule of the submittal windows for Capacity Supply Obligation Bilaterals in the Capacity Auction Calendar. A Capacity Supply Obligation Bilateral must be confirmed by the party other than the party submitting the Capacity Supply Obligation Bilateral to the ISO no later than the end of the relevant submittal window.

III.15.6.1.3. Contents of Submission to the ISO.

The submission of a Capacity Supply Obligation Bilateral to the ISO shall include the following: (i) the resource identification number of the Capacity Transferring Resource; (ii) the amount of the Capacity Supply Obligation being transferred in MW amounts up to three decimal places; (iii) the term of the transaction; and (iv) the resource identification number of the Capacity Acquiring Resource. If the parties to a Capacity Supply Obligation Bilateral so choose, they may also submit a price, denominated in \$/kW-

month, to be used by the ISO in settling the Capacity Supply Obligation Bilateral. If no price is submitted, the ISO shall use a default price of \$0.00/kW-month.

III.15.6.1.4. ISO Review.

- (a) The ISO shall review the information provided in support of the Capacity Supply Obligation Bilateral and shall reject the Capacity Supply Obligation Bilateral if any of the submission and participation requirements described in this Section III.15.6.1 are not met. For a Capacity Supply Obligation Bilateral submitted before the relevant submittal window opens, this review shall occur once the submittal window opens. For a Capacity Supply Obligation Bilateral submitted after the submittal window opens, this review shall occur upon submission.
- (b) After the close of the submittal window, the ISO shall conduct a review to determine the deliverability of the submitted Capacity Supply Obligation Bilaterals. In its review, the ISO shall model as constraints the truncation points for import-constrained Capacity Zones and export-constrained Capacity Zones specified in Sections III.15.1.1.2 and III.15.1.1.3 and external interface limits established pursuant to Section III.12 for the applicable Capacity Commitment Period. The ISO shall reject Capacity Supply Obligation Bilaterals that are not fully deliverable up to their specific MW values without violating transmission transfer limits between Capacity Zones or external transfer limits. Transactions will only be accepted or rejected in their entirety. The ISO shall approve or reject Capacity Supply Obligation Bilaterals based on the order in which they are confirmed. Where the ISO has determined that a Capacity Supply Obligation Bilateral must be rejected, the Lead Market Participant for the Capacity Transferring Resource and the Capacity Acquiring Resource shall be notified as soon as practicable of the rejection and of the basis for such rejection.
- (c) Each Capacity Supply Obligation Bilateral shall be subject to a financial assurance review by the ISO. If the Capacity Transferring Resource and the Capacity Acquiring Resource are not both in compliance with all applicable provisions of the ISO New England Financial Assurance Policy, including those regarding Capacity Supply Obligation Bilaterals, the ISO shall reject the Capacity Supply Obligation Bilateral.

III.15.6.1.5. Approval.

Upon approval of a Capacity Supply Obligation Bilateral, the Capacity Supply Obligation of the Capacity Transferring Resource for the month covered by the Capacity Supply Obligation Bilateral shall be reduced by the amount set forth in the Capacity Supply Obligation Bilateral, and the Capacity Supply

Obligation of the Capacity Acquiring Resource for the month covered by the Capacity Supply Obligation Bilateral shall be increased by the amount set forth in the Capacity Supply Obligation Bilateral.

III.15.6.2. Capacity Load Obligations Bilaterals.

A Capacity Load Obligation Transferring Participant seeking to shed its Capacity Load Obligation may enter into a Capacity Load Obligation Bilateral transaction to transfer all or a portion of its Capacity Load Obligation in a Capacity Zone to a Capacity Load Obligation Acquiring Participant seeking to acquire a Capacity Load Obligation, as described in this Section III.15.6.2.

III.15.6.2.1. Terms of and Participation in Capacity Load Obligation Bilaterals.

A Capacity Load Obligation Bilateral must be in whole calendar month increments, may not exceed one year in duration, and must begin and end within the same Capacity Commitment Period. A Capacity Load Obligation Transferring Participant will be permitted to transfer, and a Capacity Load Obligation Acquiring Participant will be permitted to acquire, a Capacity Load Obligation if after entering into a Capacity Load Obligation Bilateral and submitting related information to the ISO within the specified submittal time period, the ISO approves such Capacity Load Obligation Bilateral.

III.15.6.2.2. Timing of Submission to the ISO.

Either the Capacity Load Obligation Transferring Participant or the Capacity Load Obligation Acquiring Participant may submit a Capacity Load Obligation Bilateral to the ISO. All Capacity Load Obligation Bilaterals must be submitted to the ISO in accordance with resettlement provisions as described in ISO New England Manuals. However, to be included in the initial daily settlements of payments and charges associated with the Annual Capacity Market for the first month of the term of the Capacity Load Obligation Bilateral, a Capacity Load Obligation Bilateral must be submitted to the ISO no later than 12:00 p.m. on the first Business Day of that month (though a Capacity Load Obligation Bilateral submitted at that time may be revised by the parties to the transaction throughout the resettlement process). A Capacity Load Obligation Bilateral must be confirmed by the party other than the party submitting the Capacity Load Obligation Bilateral to the ISO no later than the same deadline that applies to submission of the Capacity Load Obligation Bilateral.

III.15.6.2.3. Contents of Submission to the ISO.

The submission of a Capacity Load Obligation Bilateral to the ISO shall include the following: (i) the amount of the Capacity Load Obligation being transferred in MW amounts up to three decimal places; (ii) the term of the transaction; (iii) identification of the Capacity Load Obligation Transferring Participant

and the Capacity Load Obligation Acquiring Participant; and (iv) the Capacity Zone in which the Capacity Load Obligation is being transferred is located.

III.15.6.2.4. ISO Review.

The ISO shall review the information provided in support of the Capacity Load Obligation Bilateral and shall reject the Capacity Load Obligation Bilateral if any of the provisions of this Section III.15.6.2 are not met.

III.15.6.2.5. Approval.

Upon approval of a Capacity Load Obligation Bilateral, the Capacity Load Obligation of the Capacity Load Obligation Transferring Participant in the Capacity Zone specified in the submission to the ISO shall be reduced by the amount set forth in the Capacity Load Obligation Bilateral for the period covered by the bilateral and the Capacity Load Obligation of the Capacity Load Obligation Acquiring Participant in the specified Capacity Zone shall be increased by the amount set forth in the Capacity Load Obligation Bilateral for the period covered by the bilateral.

III.15.6.3. Capacity Performance Bilaterals.

A resource's Capacity Performance Score during a Capacity Scarcity Condition may be adjusted by entering into a Capacity Performance Bilateral as described in this Section III.15.6.3.

III.15.6.3.1. Terms of and Participation in Capacity Performance Bilaterals.

If a resource has a Capacity Performance Score that is greater than zero in a five-minute interval that is subject to a Capacity Scarcity Condition, that resource may transfer all or some of that Capacity Performance Score to another resource for that same five-minute interval through a Capacity Performance Bilateral, so long as both resources were subject to the same Capacity Scarcity Condition. The Lead Market Participant for the transferring resource may submit a Capacity Performance Bilateral to the ISO assigning all or a portion of its Capacity Performance Score for such five-minute interval to the receiving resource. The Capacity Performance Bilateral must be confirmed by the Lead Market Participant for the resource receiving the Capacity Performance Score.

III.15.6.3.2. Timing of Submission to the ISO.

A Capacity Performance Bilateral must be submitted in accordance with resettlement provisions as described in ISO New England Manuals. However, to be included in the initial settlement of payments and charges associated with the Annual Capacity Market for the month associated with the Capacity

Performance Bilateral, a Capacity Performance Bilateral must be submitted to the ISO no later than 12:00 p.m. on the second Business Day after the end of that month, or at such later deadline as specified by the ISO upon notice to Market Participants (though a Capacity Performance Bilateral may be revised by the parties to the transaction throughout the resettlement process).

III.15.6.3.3. Contents of Submission to the ISO.

The submission of a Capacity Performance Bilateral to the ISO shall include the following: (i) the resource identification number for the resource transferring its Capacity Performance Score; (ii) the resource identification number for the resource receiving the Capacity Performance Score; (iii) the MW amount of Capacity Performance Score being transferred; and (iv) the specific five-minute interval or intervals for which the Capacity Performance Bilateral applies.

III.15.6.3.4. ISO Review.

The ISO shall review the information provided in the submission of the Capacity Performance Bilateral and shall reject the Capacity Performance Bilateral if any of the provisions of this Section III.15.6.3 are not met.

III.15.6.3.5. Effect of Capacity Performance Bilateral.

A Capacity Performance Bilateral does not affect either party's Capacity Supply Obligation or the rights and obligations associated therewith. The sole effect of a Capacity Performance Bilateral is to modify the Capacity Performance Scores of the transferring and receiving resources for the Capacity Scarcity Condition subject to the Capacity Performance Bilateral for purposes of calculating Capacity Performance Payments as described in Section III.15.8.2.

III.15.7. Obligations of Capacity Suppliers.

Resources assuming a Capacity Supply Obligation through an Annual Capacity Auction or resources assuming or shedding a Capacity Supply Obligation through a Monthly Reconfiguration Auction or a Capacity Supply Obligation Bilateral shall comply with this Section III.15.7 for each Capacity Commitment Period.

III.15.7.1. Resources with Capacity Supply Obligations.

A resource with a Capacity Supply Obligation assumed through an Annual Capacity Auction, Monthly Reconfiguration Auction, or a Capacity Supply Obligation Bilateral shall comply with the requirements of this Section III.15.7.1 during the Capacity Commitment Period, or portion thereof, in which the Capacity Supply Obligation applies.

III.15.7.1.1. Generating Capacity Resources with Capacity Supply Obligations.

III.15.7.1.1.1. Energy Market Offer Requirements.

(a) A Generating Capacity Resource having a Capacity Supply Obligation shall be offered into both the Day-Ahead Energy Market and Real-Time Energy Market at a MW amount equal to or greater than its Capacity Supply Obligation whenever the resource is physically available. If the resource is physically available at a level less than its Capacity Supply Obligation, however, the resource shall be offered into both the Day-Ahead Energy Market and Real-Time Energy Market at that level. Day-Ahead Energy Market Supply Offers from such Generating Capacity Resources shall also meet one of the following requirements:

- (i) the sum of the Generating Capacity Resource's Notification Time plus Start-Up Time plus Minimum Run Time plus Minimum Down Time is less than or equal to 72 hours; or
- (ii) if the Generating Capacity Resource cannot meet the offer requirements in Section III.15.7.1.1.1(a)(i) due to physical design limits, then the resource shall be offered into the Day-Ahead Energy Market at a MW amount equal to or greater than its Economic Minimum Limit at a price of zero or shall be self-scheduled in the Day-Ahead Energy Market at a MW amount equal to or greater than the resource's Economic Minimum Limit.

(b) Notwithstanding the foregoing, if the Generating Capacity Resource is a Settlement Only Resource, it may not submit Supply Offers into the Day-Ahead Energy Market or Real-Time Energy Market.

III.15.7.1.1.2. Requirement that Offers Reflect Accurate Generating Capacity Resource Operating Characteristics.

For each day, Day-Ahead Energy Market and Real-Time Energy Market offers for the listed portion of a resource must reflect the then-known unit-specific operating characteristics (taking into account, among other things, the physical design characteristics of the unit) consistent with Good Utility Practice.

Resources must re-declare to the ISO any changes to the offer parameters that occur in real time to reflect the known capability of the resource. A resource failing to comply with this requirement shall be subject to potential referral under Section III.A.19.

III.15.7.1.1.3. [Reserved.]

III.15.7.1.1.4. [Reserved.]

III.15.7.1.1.5. Additional Requirements for Generating Capacity Resources.

Generating Capacity Resources having a Capacity Supply Obligation are subject to the following additional requirements:

(a) auditing and rating requirements as detailed in the ISO New England Manuals and ISO New England Operating Procedures;

(b) Operating Data collection requirements as detailed in the ISO New England Manuals and Market Rule 1 and the requirement to provide to the ISO, upon request and as soon as practicable, confirmation of gas volume schedules sufficient to deliver the energy scheduled for each Generating Capacity Resource using natural gas; and

(c) outage requirements in accordance with the ISO New England Manuals and ISO New England Operating Procedures (except that Settlement Only Resources are not subject to outage requirements), provided, however, that the portion of a resource having no Capacity Supply Obligation, or that a Lead Market Participant indicates will not have a Capacity Supply Obligation, is not subject to the forced re-

scheduling provisions for outages in accordance with the ISO New England Manuals and ISO New England Operating Procedures.

III.15.7.1.2. Import Capacity Resources with Capacity Supply Obligations.

III.15.7.1.2.1. Energy Market Offer Requirements.

A Market Participant with an Import Capacity Resource must offer one or more External Transactions to import energy in the Day-Ahead Energy Market and Real-Time Energy Market for every hour of each Operating Day at the same external interface that, in total, equal the resource's Capacity Supply Obligation, except that:

- (a) the offer requirement does not apply to any hour in which any External Resource associated with an Import Capacity Resource is on an outage;
- (b) the Day-Ahead Energy Market offer requirement does not apply to any hour in which the import transfer capability of the external interface is 0 MW, and;
- (c) the Real-Time Energy Market offer requirement does not apply to Import Capacity Resources with Capacity Supply Obligations at an external interface for which Coordinated Transaction Scheduling is implemented.

Each External Transaction submitted in the Day-Ahead Energy Market must reference the associated Import Capacity Resource.

Each External Transaction submitted in the Real-Time Energy Market in accordance with Section III.1.10.7 must reference the associated Import Capacity Resource.

III.15.7.1.2.2. Additional Requirements for Import Capacity Resources.

A Market Participant with an Import Capacity Resource that is associated with an External Resource must:

- (a) comply with all offer, outage scheduling and operating requirements applicable to capacity resources in the External Resource's native Control Area, and;
- (b) notify the ISO of all outages impacting the Capacity Supply Obligation of the Import Capacity Resource in accordance with the outage notification requirements in ISO New England Operating Procedure No. 5.

III.15.7.1.3. Intermittent Power Resources with Capacity Supply Obligations.

III.15.7.1.3.1. Energy Market Offer Requirements.

(a) Market Participants with Intermittent Power Resources that are Dispatchable Resources and have a Capacity Supply Obligation are required to submit offers in the Day-Ahead Energy Market consistent with the Market Participant's expectation of the output of the resource in Real-Time. Market Participants with non-dispatchable Intermittent Power Resources with a Capacity Supply Obligation may submit, but are not required to submit, offers into the Day-Ahead Energy Market. Market Participants are required to submit offers for Intermittent Power Resources with a Capacity Supply Obligation for use in the Real-Time Energy Market consistent with the characteristics of the resource. Day-Ahead projections of output shall be submitted as detailed in the ISO New England Manuals. For purposes of calculating Real-Time NCPC Charges, Intermittent Power Resources shall have a generation deviation of zero.

(b) Notwithstanding the foregoing, an Intermittent Power Resource that is a Settlement Only Resource may not submit Supply Offers into the Day-Ahead Energy Market or Real-Time Energy Market.

III.15.7.1.3.2. [Reserved.]

III.15.7.1.3.3. Additional Requirements for Intermittent Power Resources.

Intermittent Power Resources with Capacity Supply Obligations are subject to the following additional requirements:

- (a) auditing and rating requirements as detailed in the ISO New England Manuals;
- (b) Operating Data collection requirements as detailed in the ISO New England Manuals; and
- (c) complying with outage requirements as outlined in the ISO New England Operating Procedures and ISO New England Manuals (except that Intermittent Power Resources that are Settlement Only Resources need not comply with outage requirements).

III.15.7.1.4. [Reserved.]

III.15.7.1.5. Demand Capacity Resources with Capacity Supply Obligations.

III.15.7.1.5.1. Energy Market Offer Requirements.

(a) A Market Participant with an Active Demand Capacity Resource having a Capacity Supply Obligation shall submit Demand Reduction Offers for its Demand Response Resources into the Day-Ahead Energy Market and Real-Time Energy Market in at least the MW amount described in this Section III.15.7.1.5.1; for purposes of the following comparisons, the portion of Demand Reduction Offers not associated with Net Supply shall be increased by average avoided peak transmission and distribution losses. The sum of the Demand Reduction Offers must be equal to or greater than the Active Demand Capacity Resource's Capacity Supply Obligation whenever the Demand Response Resources are physically available. If the Demand Response Resources are physically available at a level less than the Active Demand Capacity Resource's Capacity Supply Obligation, the sum of the Demand Reduction Offers will equal that level and shall be offered into both the Day-Ahead Energy Market and Real-Time Energy Market. Each Demand Reduction Offer from a Demand Response Resource made into the Day-Ahead Energy Market shall also meet the following requirement:

(i) the sum of the Demand Response Resource Notification Time plus Demand Response Resource Start-Up Time plus Minimum Reduction Time plus Minimum Time Between Reductions is less than or equal to 72 hours.

(b) Seasonal Peak Demand Capacity Resources and On-Peak Demand Capacity Resources may not submit Demand Reduction Offers into the Day-Ahead Energy Market or Real-Time Energy Market.

III.15.7.1.5.2. Requirement that Offers Reflect Accurate Demand Response Resource Operating Characteristics.

For each day, Demand Reduction Offers submitted into the Day-Ahead Energy Market and Real-Time Energy Market for a Demand Response Resource associated with an Active Demand Capacity Resource must reflect the then-known operating characteristics of the resource. Consistent with Section III.1.10.9(d), Demand Response Resources must re-declare to the ISO any changes to offer parameters that occur in real time to reflect the operating characteristics of the resource. A resource failing to comply with this requirement shall be subject to potential referral under Section III.A.19.

III.15.7.1.5.3. Additional Requirements for Demand Capacity Resources.

(a) A Market Participant may not associate an Asset with a non-commercial Demand Capacity Resource during a Capacity Commitment Period if the Asset can be associated with a commercial Demand Capacity Resource whose capability is less than its Capacity Supply Obligation during that Capacity Commitment Period.

(b) An Energy Efficiency measure may be added to an On-Peak Demand Capacity Resource or Seasonal Peak Demand Capacity Resource (other than one consisting of Load Management or Distributed Generation) until two years after the start of the Capacity Commitment Period for which the resource first received a Capacity Supply Obligation; provided, however, that a resource that qualified for a Forward Capacity Auction associated with a Capacity Commitment Period beginning on or before June 1, 2024 may install Energy Efficiency measures until May 31, 2027. Once an Energy Efficiency measure has been associated with an On-Peak Demand Capacity Resource or Seasonal Peak Demand Capacity Resource, the measure may not be transferred to a different resource.

(c) For purposes of confirming Capacity Market Commercial Operation as described in Section III.15.2.6, the ISO shall use a summer Seasonal DR Audit value or summer Passive DR Audit value to verify the capacity rating of a Demand Capacity Resource with summer Qualified Capacity. A winter Seasonal DR Audit value or winter Passive DR Audit value may only be used to verify the winter commercial capacity of a Demand Capacity Resource. The summer and winter commercial capacity of a Demand Capacity Resource consisting of Energy Efficiency measures may be verified in any month of the year.

(d) For Active Demand Capacity Resources, a summer Seasonal DR Audit value shall be established for use from April 1 through November 30 and a winter Seasonal DR Audit value shall be established for use from December 1 through March 31. The summer or winter Seasonal DR Audit value of an Active Demand Capacity Resource is equal to the sum of the like-season Seasonal DR Audit values of its constituent Demand Response Resources as determined pursuant to Section III.1.5.1.3.1. The Seasonal DR Audit value of an Active Demand Capacity Resource shall automatically update whenever a new Seasonal DR Audit value is approved for a constituent Demand Response Resource or with changes to the makeup of the constituent Demand Response Resources.

(e) On-Peak Demand Capacity Resources and Seasonal Peak Demand Capacity Resources shall in addition: (i) comply with the ISO's measurement and verification requirements pursuant to Section

III.15.2.1.1.2.1. and the ISO New England Manuals; and (ii) comply with the auditing and rating requirements as detailed in Sections III.15.7.1.5.4 and III.15.7.1.5.5 and the ISO New England Manuals.

(f) Active Demand Capacity Resources shall in addition: (i) comply with the measurement and verification requirements and the Operating Data collection requirements as detailed in the ISO New England Manuals and Market Rule 1, and with outage requirements in accordance with the ISO New England Manuals and ISO New England Operating Procedures, provided, however, that the portion of a resource having no Capacity Supply Obligation, or that a Lead Market Participant indicates will not have a Capacity Supply Obligation, is not subject to the forced re-scheduling provisions for outages in accordance with the ISO New England Manuals and ISO New England Operating Procedures; and (ii) comply with the auditing and rating requirements as detailed in Section III.15.7.1.5.5 and the ISO New England Manuals.

III.15.7.1.5.4. On-Peak Demand Capacity Resource and Seasonal Peak Demand Capacity Resource Auditing Requirements.

(a) A summer Passive DR Audit value and a winter Passive DR Audit value must be established for each On-Peak Demand Capacity Resource and Seasonal Peak Demand Capacity Resource in every Capacity Commitment Period during which the On-Peak Demand Capacity Resource or Seasonal Peak Demand Capacity Resource has an annual or monthly Capacity Supply Obligation.

(b) Summer Passive DR Audit values shall be determined based on data for one or more months of the summer Passive DR Auditing Period (June through August). Winter Passive DR Audit values shall be determined based on data for one or more months of the winter Passive DR Auditing Period (December through January).

(c) Passive DR Audit values shall be made available to the Market Participant within 20 Business Days following the end of the period for which the audit value is determined by the ISO.

(d) The audit value of an On-Peak Demand Capacity Resource shall be determined by evaluating the Average Hourly Output or Average Hourly Load Reduction of each Asset associated with the On-Peak Demand Capacity Resource during the Demand Resource On-Peak Hours.

(e) The audit value of a Seasonal Peak Demand Capacity Resource shall be determined by evaluating the Average Hourly Output or Average Hourly Load Reduction of each Asset associated with the

Seasonal Peak Demand Capacity Resource during the Demand Resource Seasonal Peak Hours. If there are no Demand Resource Seasonal Peak Hours in a month during the Passive DR Auditing Period, performance during Demand Resource On-Peak Hours in that month may be used.

(f) Passive DR Audit values shall become effective one calendar day after being made available to the Market Participant and remain valid until the earlier of: (i) the next like-season Passive DR Audit value becomes effective or (ii) the end of the following Capability Demonstration Year.

(g) For On-Peak Demand Capacity Resources consisting of Energy Efficiency measures and Seasonal Peak Demand Capacity Resources consisting of Energy Efficiency measures, the ISO shall calculate a summer Passive DR Audit value and a winter Passive DR Audit value in each month of the year. For all other On-Peak Demand Capacity Resources and Seasonal Peak Demand Capacity Resources, a Market Participant may request that a summer or winter Passive DR Audit value be determined based on data for, respectively, a summer or winter month outside of the Passive DR Auditing Periods. Such an audit shall not satisfy the Passive DR Audit requirement.

III.15.7.1.5.5. Additional Demand Capacity Resource Audits.

The ISO may perform one or both of the following additional audits for a Demand Capacity Resource to establish or verify the capability of the Demand Capacity Resource and its underlying assets and measures.

(a) Level 1 Audit: the ISO shall establish the audit results by conducting a review of records of the Assets and measures to verify that the reported Assets and measures have been installed and are operational. The audit shall include, but is not limited to, reviewing project or program databases, invoices, installation reports, work orders, and field inspection reports. In addition, the audit may involve reviewing any independent inspections or evaluations conducted as part of program implementation and program evaluation.

(b) Level 2 Audit: the ISO shall establish the audit results by initiating or conducting an on-site field audit to verify the installation and performance of the Assets and measures. Such an audit may include a random or select sample of facilities and measures.

A level 1 audit is not required to precede a level 2 audit. If the results of the audit indicate that the demand reduction capability of the Demand Capacity Resource is less than or greater than its most recent

like-season Passive DR Audit value or Seasonal DR Audit value, then the Demand Capacity Resource's audit value shall be adjusted accordingly.

III.15.7.1.6. DNE Dispatchable Generator.

III.15.7.1.6.1. Energy Market Offer Requirements.

DNE Dispatchable Generators with a Capacity Supply Obligation must submit offers into the Day-Ahead Energy Market for the full amount of the resource's expected hourly physical capability as determined by the Market Participant. Market Participants with DNE Dispatchable Generators having a Capacity Supply Obligation must submit offers for the Real-Time Energy Market consistent with the characteristics of the resource. For purposes of calculating Real-Time NCPC Charges, DNE Dispatchable Generators shall have a generation deviation of zero.

III.15.7.1.7. Distributed Energy Capacity Resources with Capacity Supply Obligations.

III.15.7.1.7.1. Energy Market Offer Requirements.

(a) A Market Participant with a Distributed Energy Capacity Resource having a Capacity Supply Obligation shall submit offers for its Distributed Energy Resource Aggregations into the Day-Ahead Energy Market and Real-Time Energy Market in at least the MW amount described in this Section III.15.7.1.7.1; for purposes of the following comparisons, the portion of any Demand Reductions Offers or Baseline Deviation Offers not associated with Net Supply shall be increased by average avoided peak transmission and distribution losses. The sum of the offers must be equal to or greater than the Distributed Energy Capacity Resource's Capacity Supply Obligation whenever the Distributed Energy Resource Aggregations are physically available. If the Distributed Energy Resource Aggregations are physically available at a level less than the Distributed Energy Capacity Resource's Capacity Supply Obligation, the sum of the offers must equal that level and shall be offered into both the Day-Ahead Energy Market and Real-Time Energy Market. Each offer from a Distributed Energy Resource Aggregation made into the Day- Ahead Energy Market shall also meet the following requirement:

- (i) the sum of the resource's notification time plus start-up time plus Minimum Run Time (or Minimum Deviation Time or Minimum Reduction Time) plus Minimum Down Time (or Minimum Time Between Deviations or Minimum Time Between Reductions) is less than or equal to 72 hours.

(b) Notwithstanding the foregoing, if the Distributed Energy Capacity Resource comprises Settlement Only Distributed Energy Resource Aggregations, it is not obligated to submit Supply Offers into the Day-Ahead Energy Market and may not submit Supply Offers into the Real-Time Energy Market.

III.15.7.1.7.2. Requirement that Offers Reflect Accurate Distributed Energy Capacity Resource Operating Characteristics.

For each day, Day-Ahead Energy Market and Real-Time Energy Market offers for the listed portion of a resource must reflect the then-known unit-specific operating characteristics (taking into account, among other things, the physical design characteristics of the unit) consistent with Good Utility Practice.

Resources must re-declare to the ISO any changes to the offer parameters that occur in real time to reflect the then-known capability of the resource.

III.15.7.1.7.3. Additional Requirements for Distributed Energy Capacity Resources.

Distributed Energy Capacity Resources having a Capacity Supply Obligation are subject to the following additional requirements:

(a) A Market Participant may not associate an Asset with a non-commercial Distributed Energy Capacity Resource during a Capacity Commitment Period if the Asset can be associated with a commercial Distributed Energy Capacity Resource whose capability is less than its Capacity Supply Obligation during that Capacity Commitment Period.

(b) Distributed Energy Capacity Resources shall comply with the Operating Data collection requirements as detailed in the ISO New England Manuals and Market Rule 1, and with outage requirements in accordance with the ISO New England Manuals and ISO New England Operating Procedures, provided, however, that the portion of a resource having no Capacity Supply Obligation, or that a Lead Market Participant indicates will not have a Capacity Supply Obligation, is not subject to the forced re-scheduling provisions for outages in accordance with the ISO New England Manuals and ISO New England Operating Procedures.

(c) Distributed Energy Capacity Resources shall comply with the auditing and rating requirements as detailed in this Market Rule 1 and the ISO New England Manuals.

(d) For Distributed Energy Capacity Resources, the Seasonal DECR Audit Value shall be established pursuant to Section III.1.7.13.

III.15.7.2. Resources without a Capacity Supply Obligation.

A resource that does not have any Capacity Supply Obligation shall comply with the requirements in this Section III.15.7.2 and shall not be subject to the requirements set forth in Section III.15.7.1 during the Capacity Commitment Period, or portion thereof, for which the resource has no Capacity Supply Obligation.

III.15.7.2.1. Generating Capacity Resources without a Capacity Supply Obligation.

III.15.7.2.1.1. Energy Market Offer Requirements.

A Generating Capacity Resource having no Capacity Supply Obligation is not required to offer into the Day-Ahead Energy Market or Real-Time Energy Market. A Generating Capacity Resource that is a Settlement Only Resource may not offer into the Day-Ahead Energy Market or Real-Time Energy Market.

III.15.7.2.1.1.1. Day-Ahead Energy Market Participation.

A Generating Capacity Resource having no Capacity Supply Obligation may submit an offer into the Day-Ahead Energy Market. If any portion of the offered energy clears in the Day-Ahead Energy Market, the entire Supply Offer, up to the Economic Maximum Limit offered into the Day-Ahead Energy Market, will be subject to all of the rules and requirements applicable to that market for the operating day, including the obligation to follow ISO Dispatch Instructions. Such a resource that clears shall be eligible for dispatch in the Real-Time Energy Market.

III.15.7.2.1.1.2. Real-Time Energy Market Participation.

A Generating Capacity Resource having no Capacity Supply Obligation may submit an offer into the Real-Time Energy Market. If any portion of the offered energy clears in the Real-Time Energy Market, the entire Supply Offer, up to the Economic Maximum Limit offered into the Real-Time Energy Market, will be subject to all of the rules and requirements applicable to that market for the Operating Day, including the obligation to follow ISO Dispatch Instructions. Such a resource shall be eligible for dispatch in the Real-Time Energy Market.

III.15.7.2.1.2. Additional Requirements for Generating Capacity Resources Having No Capacity Supply Obligation.

Generating Capacity Resources having no Capacity Supply Obligation are subject to the following additional requirements:

- (a) complying with the auditing and rating requirements as detailed in the ISO New England Manuals;
- (b) complying with the Operating Data collection requirements detailed in the ISO New England Manuals; and
- (c) complying with outage requirements as outlined in the ISO New England Operating Procedures and ISO New England Manuals. Generating Capacity Resources having no Capacity Supply Obligation, or that a Lead Market Participant indicates will not have a Capacity Supply Obligation, are not subject to the forced re-scheduling provisions for outages in accordance with the ISO New England Manuals and ISO New England Operating Procedures.

III.15.7.2.2. Distributed Energy Capacity Resources without a Capacity Supply Obligation.

III.15.7.2.2.1. Energy Market Offer Requirements.

A Market Participant with a Distributed Energy Resource Aggregation that is not associated with a Distributed Energy Capacity Resource with a Capacity Supply Obligation is not required to submit offers for the resource into the Day-Ahead Energy Market or Real-Time Energy Market. A Market Participant with a Settlement Only Distributed Energy Resource Aggregation is not permitted to submit an offer for that resource into the Real-Time Energy Market.

III.15.7.2.2.2. Day-Ahead Energy Market Participation.

A Market Participant with a Distributed Energy Resource Aggregation that is not associated with a Distributed Energy Capacity Resource with a Capacity Supply Obligation may submit an offer into the Day-Ahead Energy Market. If any portion of the offer clears in the Day-Ahead Energy Market, the entire offer, up to the maximum capability offered into the Day-Ahead Energy Market, will be subject to all of the rules and requirements applicable to that market for the Operating Day, including the obligation to follow Dispatch Instructions. Such a resource that clears shall be eligible for dispatch in the Real-Time Energy Market so long as it is not a Settlement Only Distributed Energy Resource Aggregation.

III.15.7.2.2.3. Real-Time Energy Market Participation.

A Market Participant with a Distributed Energy Resource Aggregation that is not associated with a Distributed Energy Capacity Resource with a Capacity Supply Obligation, that did not submit an offer into the Day-Ahead Energy Market or was offered into the Day-Ahead Energy Market and did not clear, may submit an offer in the Real-Time Energy Market so long as the resource is not a Settlement Only Distributed Energy Resource Aggregation, and shall be subject to all of the requirements associated therewith. Such a resource shall be eligible for dispatch in the Real-Time Energy Market.

III.15.7.2.2.4. Additional Requirements for Distributed Energy Capacity Resources Having No Capacity Supply Obligation.

Distributed Energy Capacity Resources without a Capacity Supply Obligation shall comply with the requirements in Section III.15.7.1.7.3.

III.15.7.2.3. Intermittent Power Resources without a Capacity Supply Obligation.

III.15.7.2.3.1. Energy Market Offer Requirements.

An Intermittent Power Resource having no Capacity Supply Obligation is not required to offer into the Day-Ahead Energy Market or Real-Time Energy Market. An Intermittent Power Resource that is a Settlement Only Resource may not offer into the Day-Ahead Energy Market or Real-Time Energy Market.

III.15.7.2.3.2. Additional Requirements for Intermittent Power Resources.

Intermittent Power Resources having no Capacity Supply Obligation are subject to the following additional requirements:

- (a) auditing and rating requirements as detailed in the ISO New England Manuals; and
- (b) Operating Data collection requirements as detailed in the ISO New England Manuals.

III.15.7.2.4. [Reserved.]

III.15.7.2.5. Demand Capacity Resources without a Capacity Supply Obligation.

III.15.7.2.5.1. Energy Market Offer Requirements.

A Market Participant with a Demand Response Resource associated with an Active Demand Capacity Resource without a Capacity Supply Obligation is not required to offer Demand Reduction Offers for the Demand Response Resource into the Day-Ahead Energy Market or Real-Time Energy Market.

Seasonal Peak Demand Capacity Resources and On-Peak Demand Capacity Resources may not submit Demand Reduction Offers into the Day-Ahead Energy Market or Real-Time Energy Market.

III.15.7.2.5.1.1. Day-Ahead Energy Market Participation.

A Market Participant with a Demand Response Resource associated with an Active Demand Capacity Resource without a Capacity Supply Obligation may submit a Demand Reduction Offer into the Day-Ahead Energy Market. If any portion of the Demand Reduction Offer clears in the Day-Ahead Energy Market, the entire Demand Reduction Offer, up to the Maximum Reduction offered into the Day-Ahead Energy Market, will be subject to all of the rules and requirements applicable to that market for the Operating Day, including the obligation to follow Dispatch Instructions. Such a resource that clears shall be eligible for dispatch in the Real-Time Energy Market.

III.15.7.2.5.1.2. Real-Time Energy Market Participation.

A Market Participant with a Demand Response Resource associated with an Active Demand Capacity Resource without a Capacity Supply Obligation that did not submit an offer into the Day-Ahead Energy Market or was offered into the Day-Ahead Energy Market and did not clear, may submit a Demand Reduction Offer in the Real-Time Energy Market and shall be subject to all of the requirements associated therewith. Such a resource shall be eligible for dispatch in the Real-Time Energy Market.

III.15.7.2.5.2. Additional Requirements for Demand Capacity Resources Having No Capacity Supply Obligation.

Demand Capacity Resources without a Capacity Supply Obligation are subject to the following additional requirements:

- (a) complying with Section III.15.7.1.5.3(a) and (b) and with the auditing and rating requirements described in Section III.15.7.1.5.5 and the ISO New England Manuals;
- (b) for Active Demand Capacity Resources, complying with the Operating Data collection requirements detailed in the ISO New England Manuals; and

(c) for Active Demand Capacity Resources, complying with outage requirements as detailed in the ISO New England Operating Procedures and ISO New England Manuals. Active Demand Capacity Resources having no Capacity Supply Obligation, or that a Lead Market Participant indicates will not have a Capacity Supply Obligation, are not subject to the forced re-scheduling provisions for outages in accordance with the ISO New England Manuals and ISO New England Operating Procedures.

III.15.7.3. Exporting Resources.

A resource that is exporting capacity not subject to a Capacity Supply Obligation to an external Control Area shall comply with this Section III.15.7.3 and the ISO New England Manuals. Intermittent Power Resources and Demand Capacity Resources are not permitted to back a capacity export to an external Control Area. The portion of a resource without a Capacity Supply Obligation that will be used in Real-Time to support an External Transaction sale must comply with the energy market offer requirements of Section III.1.10.7 and Section III.1.10.7.A, as applicable.

III.15.7.4. ISO Requests for Energy.

The ISO may request that an Active Demand Capacity Resource, a Generating Capacity Resource, or a Distributed Energy Capacity Resource having capacity that is not subject to a Capacity Supply Obligation provide energy for reliability purposes in the Real-Time Energy Market, but such resource shall not be obligated under this Section III.15 by such a request to provide energy from that capacity. If such resource does provide energy from that capacity, the resource shall be paid based on its most recent offer and is eligible for NCPC.

III.15.7.4.1. Real-Time High Operating Limit.

For purposes of facilitating ISO requests for energy under Section III.15.7.4, a Market Participant must report an up-to-date Real-Time High Operating Limit value at all times for a Generating Capacity Resource.

III.15.8. Capacity Payments and Charges.

Revenue in the Annual Capacity Market for resources providing capacity shall be composed of Capacity Base Payments as described in Section III.15.8.1 and Capacity Performance Payments as described in Section III.15.8.2, adjusted as described in Section III.15.8.3 and Section III.15.8.4. Market Participants with a Capacity Load Obligation shall be subject to charges as described in Section III.15.8.5.

In the event of a change in the Lead Market Participant for a resource that has a Capacity Supply Obligation, the Capacity Supply Obligation shall remain associated with the resource and the new Lead Market Participant for the resource shall be bound by all provisions of this Section III.15 arising from such Capacity Supply Obligation. The Lead Market Participant for the resource at the start of an Obligation Month shall be responsible for all payments and charges associated with that resource in that Obligation Month.

III.15.8.1. Capacity Base Payments.

Resources acquiring or shedding a Capacity Supply Obligation for the Obligation Month shall receive a Capacity Base Payment for the Obligation Month reflecting the payments and charges described in Section III.15.8.1.1.

III.15.8.1.1. Payments and Charges Reflecting Capacity Supply Obligations.

Each resource that has: (i) cleared in an Annual Capacity Auction, except for the portion of resources designated as Self-Supplied Capacity Resources; (ii) cleared in a reconfiguration auction; or (iii) entered into a Capacity Supply Obligation Bilateral shall be entitled to a monthly payment or charge during the Capacity Commitment Period. Each monthly payment and charge listed in Section III.15.8.1.1 (a) through (d) below will be divided by the number of days in the month to derive a daily settlement value.

(a) **Annual Capacity Auction.** For a resource whose offer has cleared in an Annual Capacity Auction, the monthly capacity payment shall equal the product of its cleared capacity and the Capacity Clearing Price in the Capacity Zone in which the resource is located as adjusted by applicable indexing for resources with additional Capacity Commitment Period elections pursuant to Section III.13.1.1.2.2.4 in the manner described below. For a resource that elected to have the Capacity Clearing Price and the Capacity Supply Obligation apply for more than one Capacity Commitment Period, payments associated with the Capacity Supply Obligation and Capacity Clearing Price (indexed using the Handy-Whitman Index of Public Utility Construction Costs in effect as of December 31 of the year preceding the Capacity Commitment Period) shall continue to apply after the Capacity Commitment Period associated with the

Forward Capacity Auction in which the offer cleared, for up to six additional and consecutive Capacity Commitment Periods, in whole Capacity Commitment Period increments only, and subject to the limitations set forth in Section III.15.2.1.3.

(b) **Reconfiguration Auctions.** For a resource whose offer or bid has cleared in a Monthly Reconfiguration Auction, the monthly capacity payment or charge shall be equal to the product of its cleared capacity and the appropriate reconfiguration auction clearing price in the Capacity Zone in which the resource cleared.

(c) **Capacity Supply Obligation Bilaterals.** For resources that have acquired or shed a Capacity Supply Obligation through a Capacity Supply Obligation Bilateral, the monthly capacity payment or charge shall be equal to the product of the Capacity Supply Obligation being assumed or shed and the price associated with the Capacity Supply Obligation Bilateral.

III.15.8.1.2 Export Capacity

If there are any unobligated Export Offer Segments from resources located in an export-constrained Capacity Zone or in the Rest-of-Pool Capacity Zone that have cleared in the Annual Capacity Auction and if the resource is exporting capacity at an export interface that is connected to an import-constrained Capacity Zone or the Rest-of-Pool Capacity Zone that is different than the Capacity Zone in which the resource is located, then charges and credits are applied as follows.

Charge Amount to Resource Exporting = [Capacity Clearing Price_{location of the interface} - Capacity Clearing Price_{location of the resource}] x [Cleared MWs of Export Offer Segment]

Credit Amount to Capacity Load Obligations in the Capacity Zone where the export interface is located = [Capacity Clearing Price_{location of the interface} - Capacity Clearing Price_{location of the resource}] x [Cleared MWs of Export Offer Segment]

Credits and charges to load in the applicable Capacity Zones, as set forth above, shall be allocated in proportion to each LSE's Capacity Load Obligation as calculated in Section III.15.8.5.2.

III.15.8.2. Capacity Performance Payments.

III.15.8.2.1. Definition of Capacity Scarcity Condition.

A Capacity Scarcity Condition shall exist in a Capacity Zone for any five-minute interval in which the Real-Time Reserve Clearing Price for that entire Capacity Zone is set based on the Reserve Constraint Penalty Factor pricing for: (i) the Minimum Total Reserve Requirement; (ii) the Ten-Minute Reserve Requirement; or (iii) the Zonal Reserve Requirement, each as described in Section III.2.7A(c); provided, however, that a Capacity Scarcity Condition shall not exist if the Reserve Constraint Penalty Factor pricing results only because of resource ramping limitations that are not binding on the energy dispatch.

III.15.8.2.2. Calculation of Actual Capacity Provided During a Capacity Scarcity Condition.

For each five-minute interval in which a Capacity Scarcity Condition exists, the ISO shall calculate the Actual Capacity Provided by each resource, whether or not it has a Capacity Supply Obligation, in any Capacity Zone that is subject to the Capacity Scarcity Condition. For resources not having a Capacity Supply Obligation (including External Transactions), the Actual Capacity Provided shall be calculated using the provision below applicable to the resource type. Notwithstanding the specific provisions of this Section III.15.8.2.2, no resource shall have an Actual Capacity Provided that is less than zero.

(a) A Generating Capacity Resource's Actual Capacity Provided during a Capacity Scarcity Condition shall be the sum of the resource's output during the interval plus the resource's Reserve Quantity For Settlement during the interval; provided, however, that if the resource's output was limited during the Capacity Scarcity Condition as a result of a transmission system limitation, then the resource's Actual Capacity Provided may not be greater than the sum of the resource's Desired Dispatch Point during the interval, plus the resource's Reserve Quantity For Settlement during the interval. Where the resource is associated with one or more External Transaction sales submitted in accordance with Section III.1.10.7(f), the resource will have its hourly Actual Capacity Provided reduced by the hourly integrated delivered MW for the External Transaction sale or sales.

(b) An Import Capacity Resource's Actual Capacity Provided during a Capacity Scarcity Condition shall be the net energy delivered during the interval in which the Capacity Scarcity Condition occurred. Where a single Market Participant owns more than one Import Capacity Resource, then the difference between the total net energy delivered from those resources and the total of the Capacity Supply Obligations of those resources shall be allocated to those resources pro rata.

(c) An On-Peak Demand Capacity Resource or Seasonal Peak Demand Capacity Resource's Actual Capacity Provided during a Capacity Scarcity Condition shall be the sum of the Actual Capacity Provided

for each of its components, as determined below, where the MWhs of reduction, other than MWhs associated with Net Supply, are increased by average avoided peak transmission and distribution losses.

- (i) For Energy Efficiency measures, the Actual Capacity Provided shall be zero.
 - (ii) For Distributed Generation measures submitting meter data for the full 24 hour calendar day during which the Capacity Scarcity Condition occurs, the Actual Capacity Provided shall be equal to the submitted meter data, adjusted as necessary for the five-minute interval in which the Capacity Scarcity Condition occurs.
 - (iii) For Load Management measures submitting meter data for the full 24 hour calendar day during which the Capacity Scarcity Condition occurs, the Actual Capacity Provided shall be equal to the submitted demand reduction data, adjusted as necessary for the five-minute interval in which the Capacity Scarcity Condition occurs.
 - (iv) Notwithstanding any other provision of this Section III.15.8.2.2(c), for any On-Peak Demand Capacity Resource or Seasonal Peak Demand Capacity Resource that fails to provide the data necessary for the ISO to determine the Actual Capacity Provided as described in this Section III.15.8.2.2(c), the Actual Capacity Provided shall be zero.
- (d) An Active Demand Capacity Resource's Actual Capacity Provided during a Capacity Scarcity Condition shall be the sum of the Actual Capacity Provided by its constituent Demand Response Resources during the Capacity Scarcity Condition.
- (i) A Demand Response Resource's Actual Capacity Provided during a Capacity Scarcity Condition shall be: (1) the sum of the Real-Time demand reduction of its constituent Demand Response Assets (provided, however, that if the Demand Response Resource was limited during the Capacity Scarcity Condition as a result of a transmission system limitation, then the sum of the Real-Time demand reduction of its constituent Demand Response Assets may not be greater than its Desired Dispatch Point during the interval), plus (2) the Demand Response Resource's Reserve Quantity For Settlement, where the MW quantity, other than the MW quantity associated with Net Supply, is increased by average avoided peak transmission and distribution losses; provided, however, that a Demand Response Resource's Actual Capacity Provided shall not be less than zero.

- (ii) The Real-Time demand reduction of a Demand Response Asset shall be calculated as described in Section III.8.4, except that: (1) in the case of a Demand Response Asset that is on a forced or scheduled curtailment as described in Section III.8.3, a Real-Time demand reduction shall also be calculated for intervals in which the associated Demand Response Resource does not receive a non-zero Dispatch Instruction; (2) in the case of a Demand Response Asset that is on a forced or scheduled curtailment as described in Section III.8.3, the minuend in the calculation described in Section III.8.4 shall be the unadjusted Demand Response Baseline of the Demand Response Asset; and (3) the resulting MWhs of reduction, other than the MWhs associated with Net Supply, shall be increased by average avoided peak transmission and distribution losses.
- (e) A Distributed Energy Capacity Resource's Actual Capacity Provided during a Capacity Scarcity Condition shall be the sum of the Metered Quantity for Settlement and Reserve Quantity for Settlement of all the components of its constituent Distributed Energy Resource Aggregations; provided, however, that if the resource's output was limited during the Capacity Scarcity Condition as a result of a transmission system limitation, then the resource's Actual Capacity Provided may not be greater than the sum of the resource's Desired Dispatch Point during the interval, plus the resource's Reserve Quantity For Settlement during the interval. Based on the Real-Time operational coordination, the resource must follow any distribution system limitation and update its physical parameters accordingly. The Actual Capacity Provided cannot be less than zero.
- (i) The Real-Time demand reduction of a Demand Response Asset or Distributed Energy Resource associated with a Demand Response Distributed Energy Resource Aggregation shall be calculated as described in Section III.8.4, except that: (1) in the case of a Demand Response Asset or Distributed Energy Resource associated with a Demand Response Distributed Energy Resource Aggregation that is on a forced or scheduled curtailment as described in Section III.8.3, a Real-Time demand reduction shall also be calculated for intervals in which the associated Demand Response Resource or Demand Response Distributed Energy Resource Aggregation does not receive a non-zero Dispatch Instruction; (2) in the case of a Demand Response Asset or Distributed Energy Resource associated with a Demand Response Distributed Energy Resource Aggregation that is on a forced or scheduled curtailment as described in Section III.8.3, the minuend in the calculation described in Section III.8.4 shall be the unadjusted Demand Response

Baseline of the Demand Response Asset or Distributed Energy Resource associated with the Demand Response Distributed Energy Resource Aggregation; and (3) the resulting MWhs of reduction, other than the MWhs associated with Net Supply, shall be increased by average avoided peak transmission and distribution losses.

III.15.8.2.3. Capacity Balancing Ratio.

For each five-minute interval in which a Capacity Scarcity Condition exists, the ISO shall calculate a Capacity Balancing Ratio using the following formula:

$$(\text{Load} + \text{Reserve Requirement}) / \text{Total Capacity Supply Obligation}$$

(a) If the Capacity Scarcity Condition is a result of a violation of the Minimum Total Reserve Requirement such that the associated system-wide Reserve Constraint Penalty Factor pricing applies, then the terms used in the formula above shall be calculated as follows:

Load = the total amount of Actual Capacity Provided (excluding applicable Real-Time Reserve Designations) from all resources in the New England Control Area during the interval (with the Actual Capacity Provided of Energy Efficiency measures being zero, as specified in Section III.15.8.2.2(c)(i)).

Reserve Requirement = the Minimum Total Reserve Requirement during the interval.

Total Capacity Supply Obligation = the total amount of Capacity Supply Obligations in the New England Control Area during the interval, excluding the Capacity Supply Obligations associated with Energy Efficiency measures.

(b) If the Capacity Scarcity Condition is a result of a violation of the Ten-Minute Reserve Requirement such that the associated system-wide Reserve Constraint Penalty Factor pricing applies, then the terms used in the formula above shall be calculated as follows:

Load = the total amount of Actual Capacity Provided (excluding applicable Real-Time Reserve Designations) from all resources in the New England Control Area during the interval (with the Actual Capacity Provided of Energy Efficiency measures being zero, as specified in Section III.15.8.2.2(c)(i)).

Reserve Requirement = the Ten-Minute Reserve Requirement during the interval.

Total Capacity Supply Obligation = the total amount of Capacity Supply Obligations in the New England Control Area during the interval, excluding the Capacity Supply Obligations associated with Energy Efficiency measures.

(c) If the Capacity Scarcity Condition is a result of a violation of the Zonal Reserve Requirement such that the associated Reserve Constraint Penalty Factor pricing applies, then the terms used in the formula above shall be calculated as follows:

Load = the total amount of Actual Capacity Provided (excluding applicable Real-Time Reserve Designations) from all resources in the Capacity Zone during the interval plus the net amount of energy imported into the Capacity Zone from outside the New England Control Area during the interval (but not less than zero) (with the Actual Capacity Provided of Energy Efficiency measures being zero, as specified in Section III.15.8.2.2(c)(i)).

Reserve Requirement = the Zonal Reserve Requirement minus any reserve support coming into the Capacity Zone over the internal transmission interface.

Total Capacity Supply Obligation = the total amount of Capacity Supply Obligations in the Capacity Zone during the interval, excluding the Capacity Supply Obligations associated with Energy Efficiency measures.

(d) The following provisions shall be used to determine the applicable Capacity Balancing Ratio where more than one of the conditions described in subsections (a), (b), and (c) apply in a Capacity Zone.

(i) In any Capacity Zone subject to Reserve Constraint Penalty Factor pricing associated with both the Minimum Total Reserve Requirement and the Ten-Minute Reserve Requirement, but not the Zonal Reserve Requirement, the Capacity Balancing Ratio shall be calculated as described in Section III.15.8.2.3(a) for resources in that Capacity Zone.

(ii) In any Capacity Zone subject to Reserve Constraint Penalty Factor pricing associated with both the Ten-Minute Reserve Requirement and the Zonal Reserve Requirement, but not the Minimum Total Reserve Requirement, the Capacity Balancing Ratio for resources in that Capacity Zone shall be the higher of the Capacity Balancing Ratio calculated as described in

Section III.15.8.2.3(b) and the Capacity Balancing Ratio calculated as described in Section III.15.8.2.3(c).

(iii) In any Capacity Zone subject to Reserve Constraint Penalty Factor pricing associated with the Minimum Total Reserve Requirement and the Zonal Reserve Requirement (regardless of whether the Capacity Zone is also subject to Reserve Constraint Penalty Factor pricing associated with the Ten-Minute Reserve Requirement), the Capacity Balancing Ratio for resources in that Capacity Zone shall be the higher of the Capacity Balancing Ratio calculated as described in Section III.15.8.2.3(a) and the Capacity Balancing Ratio calculated as described in Section III.15.8.2.3(c).

III.15.8.2.4. Capacity Performance Score.

Each resource, whether or not it has a Capacity Supply Obligation, will be assigned a Capacity Performance Score for each five-minute interval in which a Capacity Scarcity Condition exists in the Capacity Zone in which the resource is located. A resource's Capacity Performance Score for the interval shall equal the resource's Actual Capacity Provided during the interval (with the Actual Capacity Provided of Energy Efficiency measures being zero, as specified in Section III.15.8.2.2(c)(i)) minus the product of the resource's Capacity Supply Obligation (which for this purpose shall not be less than zero) and the applicable Capacity Balancing Ratio; provided, however, that for an On-Peak Demand Capacity Resource or a Seasonal Peak Demand Capacity Resource, the Capacity Supply Obligation associated with any Energy Efficiency measures shall be excluded from the calculation of the resource's Capacity Performance Score. The resulting Capacity Performance Score may be positive, zero, or negative.

III.15.8.2.5. Capacity Performance Payment Rate.

The Capacity Performance Payment Rate shall be \$3500/MWh. The ISO shall review the Capacity Performance Payment Rate in the stakeholder process as needed and shall file with the Commission a new Capacity Performance Payment Rate if and as appropriate.

III.15.8.2.6. Calculation of Capacity Performance Payments.

For each resource, whether or not it has a Capacity Supply Obligation, the ISO shall calculate a Capacity Performance Payment for each five-minute interval in which a Capacity Scarcity Condition exists in the Capacity Zone in which the resource is located. A resource's Capacity Performance Payment for an interval shall equal the resource's Capacity Performance Score for the interval multiplied by the Capacity

Performance Payment Rate. The resulting Capacity Performance Payment for an interval may be positive or negative.

III.15.8.3. Monthly Capacity Payment and Capacity Stop-Loss Mechanism.

Each resource's Monthly Capacity Payment for an Obligation Month, which may be positive or negative, shall be the sum of the resource's Capacity Base Payment for the Obligation Month plus the sum of the resource's Capacity Performance Payments for all five-minute intervals in the Obligation Month, except as provided in Section III.15.8.3.1 and Section III.15.8.3.2 below.

III.15.8.3.1. Monthly Stop-Loss.

If the sum of the resource's Capacity Performance Payments (excluding any Capacity Performance Payments associated with Actual Capacity Provided above the resource's Capacity Supply Obligation in any interval) for all five-minute intervals in the Obligation Month is negative, the amount subtracted from the resource's Capacity Base Payment for the Obligation Month shall be limited to an amount equal to the product of the applicable Capacity Auction Offer Price Cap multiplied by the resource's Capacity Supply Obligation for the Obligation Month.

III.15.8.3.2. Annual Stop-Loss.

(a) For each Obligation Month, the ISO shall calculate a stop-loss amount equal to:

$$\text{MaxCSO} \times [3 \text{ months} \times (\text{ACAcP} - \text{ACA}_{\text{Sp}}) - (12 \text{ months} \times \text{ACAcP})]$$

Where:

MaxCSO = the resource's highest monthly Capacity Supply Obligation in the Capacity Commitment Period to date.

ACAcP = the Capacity Clearing Price for the relevant Annual Capacity Auction.

ACA_{Sp} = the Annual Capacity Auction Offer Price Cap for the relevant Annual Capacity Auction.

(b) For each Obligation Month, the ISO shall calculate each resource's cumulative Capacity Performance Payments as the sum of the resource's Capacity Performance Payments for all months in the

Capacity Commitment Period to date, with those monthly amounts limited as described in Section III.15.8.3.1.

(c) If the sum of the resource's Capacity Performance Payments (excluding any Capacity Performance Payments associated with Actual Capacity Provided above the resource's Capacity Supply Obligation in any interval) for all five-minute intervals in the Obligation Month is negative, the amount subtracted from the resource's Capacity Base Payment for the Obligation Month shall be limited to an amount equal to the difference between the stop-loss amount calculated as described in Section III.15.8.3.2(a) and the resource's cumulative Capacity Performance Payments as described in Section III.15.8.3.2(b).

III.15.8.4. Allocation of Deficient or Excess Capacity Performance Payments.

For each type of Capacity Scarcity Condition as described in Section III.15.8.2.1 and for each Capacity Zone, the ISO shall allocate deficient or excess Capacity Performance Payments as described in subsections (a) and (b) below. Where more than one type of Capacity Scarcity Condition applies, then the provisions below shall be applied in proportion to the duration of each type of Capacity Scarcity Condition.

(a) If the sum of all Capacity Performance Payments to all resources subject to the Capacity Scarcity Condition in the Capacity Zone in an Obligation Month is positive, the deficiency will be charged to resources in proportion to each such resource's Capacity Supply Obligation for the Obligation Month, excluding any resources subject to the stop-loss mechanism described in Section III.15.8.3 for the Obligation Month and excluding any resource, or portion thereof, consisting of Energy Efficiency measures. If the charge described in this Section III.15.8.4(a) causes a resource to reach the stop-loss limit described in Section III.15.8.3, then the stop-loss cap described in Section III.15.8.3 will be applied to that resource, and the remaining deficiency will be further allocated to other resources in the same manner as described in this Section III.15.8.4(a).

(b) If the sum of all Capacity Performance Payments to all resources subject to the Capacity Scarcity Condition in the Capacity Zone in an Obligation Month is negative, the excess will be credited to all such resources (excluding any resource, or portion thereof, consisting of Energy Efficiency measures) in proportion to each resource's Capacity Supply Obligation for the Obligation Month. For a resource subject to the stop-loss mechanism described in Section III.15.8.3 for the Obligation Month, any such credit shall be reduced (though not to less than zero) by the amount not charged to the resource as a result

of the application of the stop-loss mechanism described in Section III.15.8.3, and the remaining excess will be further allocated to other resources in the same manner as described in this Section III.15.8.4(b)

III.15.8.5. Charges to Market Participants with Capacity Load Obligations.

III.15.8.5.1. Calculation of Capacity Charges.

For purposes of this Section III.15.8.5.1, Capacity Zone costs calculated for a Capacity Zone that contains a nested Capacity Zone shall exclude the Capacity Zone costs of the nested Capacity Zone. A Market Participant with a Capacity Load Obligation on any day of the Obligation Month shall be subject to the following charges and adjustments. Each charge and adjustment described in rate component (b) of Sections III.15.8.5.1.1 through III.15.8.5.1.8 shall be divided by the number of days in the month to derive a daily settlement value.

III.15.8.5.1.1. Annual Capacity Auction Charge.

The ACA charge, for each Capacity Zone, is: (a) Capacity Load Obligation in the Capacity Zone; multiplied by (b) Capacity Zone ACA Costs divided by Zonal Capacity Obligation.

Where:

Capacity Zone ACA Costs, for each Capacity Zone, are the Total ACA Costs multiplied by the Zonal Peak Load Allocator and divided by the Total Peak Load Allocator.

Total ACA Costs are the sum of, for all Capacity Zones, Capacity Supply Obligations in each zone (the total obligation awarded to resources in the Annual Capacity Auction process for the Obligation Month in the zone, excluding any obligations awarded to Intermittent Power Resources that are the basis for the Intermittent Power Resource Capacity Adjustment specified in Section III.15.8.5.1.5) multiplied by the applicable clearing price from the auction in which the obligation was awarded to the resource.

Zonal Peak Load Allocator is the Zonal Capacity Obligation multiplied by the zonal Capacity Clearing Price.

Total Peak Load Allocator is the sum of the Zonal Peak Load Allocators.

III.15.8.5.1.2. Monthly Reconfiguration Auction Charge.

The monthly reconfiguration auction charge is: (a) total Capacity Load Obligation for all Capacity Zones; multiplied by (b) Total Monthly Reconfiguration Auction Costs divided by Total Zonal Capacity Obligation.

Where:

Total Monthly Reconfiguration Auction Costs are the sum of, for all Capacity Zones, the product of Capacity Supply Obligations acquired through the Monthly Reconfiguration Auction in each zone and the applicable Monthly Reconfiguration Auction clearing price, minus the sum of, for all Capacity Zones, any Capacity Supply Obligations shed through the Monthly Reconfiguration Auction in each zone and the applicable Monthly Reconfiguration Auction clearing price.

Total Zonal Capacity Obligation is the total of the Zonal Capacity Obligation in all Capacity Zones.

III.15.8.5.1.3. HQICC Capacity Charge.

The HQICC capacity charge is: (a) total Capacity Load Obligation for all Capacity Zones; multiplied by (b) Total HQICC Credits divided by Total Capacity Load Obligation.

Where:

Total HQICC credits are the product of HQICCs multiplied by the sum of the values calculated in Sections III.15.8.5.1.1(b), III.15.8.5.1.2(b), III.15.8.5.1.5(b), III.15.8.5.1.6(b), III.15.8.5.1.7(b), and III.15.8.5.1.8(b) in the Capacity Zone in which the HQ Phase I/II external node is located.

Total Capacity Load Obligation is the total Capacity Load Obligation in all Capacity Zones.

III.15.8.5.1.4. Self-Supply Adjustment.

The self-supply adjustment is: (a) Capacity Load Obligation in the Capacity Zone; multiplied by (b) the Self-Supply Variance divided by Total Capacity Load Obligation.

Where:

Self-Supply Variance is the difference between foregone capacity payments and avoided capacity charges associated with designated self-supply quantities.

Foregone capacity payments to Self-Supplied Capacity Resources are the sum, for all Capacity Zones, of the product of the zonal Capacity Supply Obligation designated as self-supply, multiplied by the applicable clearing price from the auction in which the obligation was awarded.

Avoided capacity charges are the sum, for all Capacity Zones, of the product of any designated self-supply quantities multiplied by the sum of the values calculated in Sections III.15.8.5.1.1.(b), III.15.8.5.1.2(b), III.15.8.5.1.5(b), III.15.8.5.1.6(b), III.15.8.5.1.7(b) and III.15.8.5.1.8(b) in the Capacity Zone associated with the designated self-supply quantity.

Total Capacity Load Obligation is the total Capacity Load Obligation in all Capacity Zones.

III.15.8.5.1.5. Intermittent Power Resource Capacity Adjustment.

The Intermittent Power Resource capacity adjustment in a winter season for the Obligation Months from October through May is: (a) total Capacity Load Obligation for all Capacity Zones; multiplied by (b) the Intermittent Power Resource Seasonal Variance divided by Total Zonal Capacity Obligation.

Where:

Intermittent Power Resource Seasonal Variance is the difference between the ACA payments for Intermittent Power Resources in the Obligation Month and the base ACA payments for Intermittent Power Resources.

ACA payments to Intermittent Power Resources are the sum, for all Capacity Zones, of the product of the Capacity Supply Obligations awarded to Intermittent Power Resources in the Annual Capacity Auction process for the Obligation Month pursuant to Section III.15.4.2.3, multiplied by the applicable clearing price from the auction in which the obligation was awarded.

Base ACA payments for Intermittent Power Resources are the sum, for all Capacity Zones, of the product of the Annual Qualified Capacity procured from Intermittent Power Resources in the Annual Capacity Auction process, multiplied by the applicable clearing price from the auction in which the obligation was awarded.

Total Zonal Capacity Obligation is the total Zonal Capacity Obligation in all Capacity Zones.

III.15.8.5.1.6. CTR Transmission Upgrade Charge.

The CTR transmission upgrade charge is: (a) the Capacity Load Obligation in the Capacity Zones to which the applicable interface limits the transfer of capacity, multiplied by (b) Zonal CTR Transmission Upgrade Cost divided by Zonal Capacity Obligation.

Where:

Zonal CTR Transmission Upgrade Cost for each Capacity Zone to which the interface limits the transfer of capacity is the amount calculated pursuant to Section III.15.8.5.4.1(f), multiplied by the Zonal Capacity Obligation and divided by the sum of the Zonal Capacity Obligation for all Capacity Zones to which the interface limits the transfer of capacity.

III.15.8.5.1.7. CTR Pool-Planned Unit Charge.

The CTR Pool-Planned Unit charge is: (a) the total Capacity Load Obligation in all Capacity Zones less the amount of any CTRs specifically allocated pursuant to Section III.15.8.5.4.2, multiplied by (b) CTR Pool-Planned Unit Cost divided by Total Zonal Capacity Obligation less the amount of any CTRs specifically allocated pursuant to Section III.15.8.5.4.2.

Where:

The CTR Pool-Planned Unit Cost for each Capacity Zone is the sum of the amounts calculated pursuant to Section III.15.8.5.4.2(b).

Total Zonal Capacity Obligation is the total of the Zonal Capacity Obligation in all Capacity Zones.

III.15.8.5.1.8. Multi-Year Rate Election Adjustment.

For multi-year rate elections made in the primary Forward Capacity Auction for Capacity Commitment Periods beginning on or after June 1, 2022, the multi-year rate election adjustment, for each Capacity Zone, is: (a) Capacity Load Obligation in the Capacity Zone; multiplied by (b) Zonal Multi-Year Rate Election Costs divided by Zonal Capacity Obligation.

Where:

Zonal Multi-Year Rate Election Costs is the sum, for each resource with a multi-year rate election in the Obligation Month, of the amount of Capacity Supply Obligation designated to receive the multi-year rate (excluding any obligations procured in the Forward Capacity Auction that were

terminated pursuant to Section III.13.3.4A or Section III.15.A.2.1, or withdrawn pursuant to Section III.15.A.2.3), multiplied by the difference in the applicable zonal Capacity Clearing Price for the Forward Capacity Auction in which the resource originally was awarded a Capacity Supply Obligation (indexed using the Handy-Whitman Index of Public Utility Construction Costs in effect as of December 31 of the year preceding the Capacity Commitment Period) and the applicable zonal Capacity Clearing Price for the current Capacity Commitment Period, multiplied by the Zonal Peak Load Allocator for the Forward Capacity Auction in which the resource originally was awarded a Capacity Supply Obligation and divided by the Total Peak Load Allocator for the Forward Capacity Auction in which the resource originally was awarded a Capacity Supply Obligation.

Zonal Peak Load Allocator is the Zonal Capacity Obligation multiplied by the zonal Capacity Clearing Price.

Total Peak Load Allocator is the sum of the Zonal Peak Load Allocators.

For multi-year rate elections made in the primary Forward Capacity Auction for Capacity Commitment Periods beginning prior to June 1, 2022, the multi-year rate election adjustment, for each Capacity Zone, is: (a) Capacity Load Obligation in the Capacity Zone; multiplied by (b) Zonal Multi-Year Rate Election Costs divided by Zonal Capacity Obligation.

Where:

Zonal Multi-Year Rate Election Costs is the sum in each Capacity Zone, for each resource with a multi-year rate election in the Obligation Month, of the amount of Capacity Supply Obligation designated to receive the multi-year rate (excluding any obligations procured in the Forward Capacity Auction that were terminated pursuant to Section III.13.3.4A), multiplied by the difference in the applicable zonal Capacity Clearing Price for the Forward Capacity Auction in which the resource originally was awarded a Capacity Supply Obligation (indexed using the Handy-Whitman Index of Public Utility Construction Costs in effect as of December 31 of the year preceding the Capacity Commitment Period) and the applicable zonal Capacity Clearing Price for the current Capacity Commitment Period.

III.15.8.5.2. Calculation of Capacity Load Obligation and Zonal Capacity Obligation.

The ISO shall assign each Market Participant a share of the Zonal Capacity Obligation prior to the commencement of each Obligation Month for each Capacity Zone established in the Annual Capacity

Auction pursuant to Section III.12.4. The Zonal Capacity Obligation of a Capacity Zone that contains a nested Capacity Zone shall exclude the Zonal Capacity Obligation of the nested Capacity Zone.

The Zonal Capacity Obligation for each month and Capacity Zone shall equal the product of: (i) the total of the system-wide Capacity Supply Obligations plus HQICCs; and (ii) the ratio of the sum of all load serving entities' annual coincident contributions to the system-wide annual peak load in that Capacity Zone from the calendar year one year prior to the start of the Capacity Commitment Period to the system-wide sum of all load serving entities' annual coincident contributions to the system-wide annual peak load from the calendar year one year prior to the start of the Capacity Commitment Period.

The following loads are assigned a peak contribution of zero for the purposes of assigning obligations and tracking load shifts: load associated with the receipt of electricity from the grid by Storage DARDs for later injection of electricity back to the grid; when all load of a Distributed Energy Resource Aggregation participating as a Storage DARD is load associated with the receipt of electricity from the grid for later injection of electricity back to the grid; Station service load that is modeled as a discrete Load Asset and the Resource is complying with the maintenance scheduling procedures of the ISO; load that is modeled as a discrete Load Asset and is exclusively related to an Alternative Technology Regulation Resource following AGC Dispatch Instructions; and transmission losses associated with delivery of energy over the Control Area tie lines.

A Market Participant's share of Zonal Capacity Obligation for each day of the month and each Capacity Zone shall equal the product of: (i) the Capacity Zone's Zonal Capacity Obligation as calculated above and (ii) the ratio of the sum of the load serving entity's daily Coincident Peak Contributions, to the sum of all load serving entities' daily Coincident Peak Contributions in that Capacity Zone.

A Market Participant's Capacity Load Obligation shall be its share of Zonal Capacity Obligation for each day of the month and each Capacity Zone, adjusted as appropriate to account for any relevant Capacity Load Obligation Bilaterals, HQICCs, and Self-Supplied Capacity Resource designations. A Capacity Load Obligation can be a positive or negative value.

A Market Participant's share of Zonal Capacity Obligation will not be reconstituted to include the demand reduction of a Demand Capacity Resource, Demand Response Resource, or a Demand Response Distributed Energy Resource Aggregation.

III.15.8.5.2.1. Charges Associated with Dispatchable Asset Related Demands.

Dispatchable Asset Related Demand resources will not receive Annual Capacity Market payments, but instead each Dispatchable Asset Related Demand resource will receive an adjustment to its share of the associated Coincident Peak Contribution based on the ability of the Dispatchable Asset Related Demand resource to reduce consumption. The adjustment to a load serving entity's Coincident Peak Contribution resulting from Dispatchable Asset Related Demand resource reduction in consumption shall be based on the Nominated Consumption Limit submitted for the Dispatchable Asset Related Demand resource. The Nominated Consumption Limit value of each Dispatchable Asset Related Demand resource is subject to adjustment as further described in the ISO New England Manuals, including adjustments based on the results of Nominated Consumption Limit audits performed in accordance with the ISO New England Manuals.

III.15.8.5.3. Excess Revenues.

Any payment associated with a Capacity Supply Obligation Bilateral that was to accrue to a Capacity Acquiring Resource for a Capacity Supply Obligation that is terminated pursuant to Section III.13.3.4A or Section III.15.A.2.1, or withdrawn pursuant to Section III.15.A.2.3, shall instead be allocated to Market Participants based on their pro rata share of all Capacity Load Obligations in the Capacity Zone in which the terminated resource is located.

III.15.8.5.4. Capacity Transfer Rights.

III.15.8.5.4.1. Specifically Allocated CTRs Associated with Transmission Upgrades.

- (a) A Market Participant that pays for transmission upgrades not funded through the Pool PTF Rate and which increase transfer capability across existing or potential Capacity Zone interfaces may request a specifically allocated CTR in an amount equal to the number of CTRs supported by that increase in transfer capability.
- (b) The allocation of additional CTRs created through generator interconnections completed after February 1, 2009 shall be made in accordance with the provisions of the ISO generator interconnection or planning standards. In the event the ISO interconnection or planning standards do not address this issue, the CTRs created shall be allocated in the same manner as described in Section III.15.8.5.1.6.
- (c) Specifically allocated CTRs shall expire when the Market Participant ceases to pay to support the transmission upgrades.

(d) CTRs resulting from transmission upgrades funded through the Pool PTF Rate shall not be specifically allocated but shall be allocated in the same manner as described in Section III.15.8.5.1.6.

(e) **Maine Export Interface.** Casco Bay shall receive specifically allocated CTRs of 325 MW across the Maine export interface for as long as Casco Bay continues to pay to support the transmission upgrades.

(f) The value of CTRs specifically allocated pursuant to this Section shall be calculated as the product of: (i) the Capacity Clearing Price in the Capacity Zone to which the applicable interface limits the transfer of capacity minus the Capacity Clearing Price in the Capacity Zone from which the applicable interface limits the transfer of capacity; and (ii) the MW quantity of the specifically allocated CTRs across the applicable interface. This value will be divided by the number of days in the month to derive a daily settlement value.

III.15.8.5.4.2. Specifically Allocated CTRs for Pool-Planned Units.

(a) In import-constrained Capacity Zones, in recognition of longstanding life of unit contracts, the municipal utility entitlement holder of a resource constructed as Pool-Planned Units shall receive for each Capacity Commitment Period an allocation of CTRs for each such unit that is the product of: (i) the MW quantity of capacity that the unit cleared in the Annual Capacity Auction associated with the Capacity Commitment Period; and (ii) the municipal utility's ownership entitlements in such unit. The CTRs allocated pursuant to this Section may be designated as self-supply quantities as described in Section III.15.2.9. Municipal utility ownership entitlements are set as shown in the table below and are not transferrable.

			Stonybrook	Stonybrook	Stonybrook	Stonybrook	Stonybrook	
	Millstone 3	Seabrook	GT 1A	GT 1B	GT 1C	2A	2B	Wyman 4
Danvers	0.2627%	1.1124%	8.4569%	8.4569%	8.4569%	11.5551%	11.5551%	0.0000%
Georgetown	0.0208%	0.0956%	0.7356%	0.7356%	0.7356%	1.0144%	1.0144%	0.0000%
Ipswich	0.0608%	0.1066%	0.2934%	0.2934%	0.2934%	0.0000%	0.0000%	0.0000%
Marblehead	0.1544%	0.1351%	2.6840%	2.6840%	2.6840%	1.5980%	1.5980%	0.2793%
Middleton	0.0440%	0.3282%	0.8776%	0.8776%	0.8776%	1.8916%	1.8916%	0.1012%
Peabody	0.2969%	1.1300%	13.0520%	13.0520%	13.0520%	0.0000%	0.0000%	0.0000%
Reading	0.4041%	0.6351%	14.4530%	14.4530%	14.4530%	19.5163%	19.5163%	0.0000%
Wakefield	0.2055%	0.3870%	3.9929%	3.9929%	3.9929%	6.3791%	6.3791%	0.4398%
Ashburnham	0.0307%	0.0652%	0.6922%	0.6922%	0.6922%	0.9285%	0.9285%	0.0000%
Boylston	0.0264%	0.0849%	0.5933%	0.5933%	0.5933%	0.9120%	0.9120%	0.0522%
Braintree	0.0000%	0.6134%	0.0000%	0.0000%	0.0000%	0.0000%	0.0000%	0.0000%
Groton	0.0254%	0.1288%	0.8034%	0.8034%	0.8034%	1.0832%	1.0832%	0.0000%
Hingham	0.1007%	0.4740%	3.9815%	3.9815%	3.9815%	5.3307%	5.3307%	0.0000%
Holden	0.0726%	0.3971%	2.2670%	2.2670%	2.2670%	3.1984%	3.1984%	0.0000%
Holyoke	0.3194%	0.3096%	0.0000%	0.0000%	0.0000%	2.8342%	2.8342%	0.6882%

Hudson	0.1056%	1.6745%	0.0000%	0.0000%	0.0000%	0.0000%	0.0000%	0.3395%
Hull	0.0380%	0.1650%	1.4848%	1.4848%	1.4848%	2.1793%	2.1793%	0.1262%
Littleton	0.0536%	0.1093%	1.5115%	1.5115%	1.5115%	3.0607%	3.0607%	0.1666%
Mansfield	0.1581%	0.7902%	5.0951%	5.0951%	5.0951%	7.2217%	7.2217%	0.0000%
Middleboroug h	0.1128%	0.5034%	2.0657%	2.0657%	2.0657%	4.9518%	4.9518%	0.1667%
North Attleborough	0.1744%	0.3781%	3.2277%	3.2277%	3.2277%	5.9838%	5.9838%	0.1666%
Pascoag	0.0000%	0.1068%	0.0000%	0.0000%	0.0000%	0.0000%	0.0000%	0.0000%
Paxton	0.0326%	0.0808%	0.6860%	0.6860%	0.6860%	0.9979%	0.9979%	0.0000%
Shrewsbury	0.2323%	0.5756%	3.9105%	3.9105%	3.9105%	0.0000%	0.0000%	0.4168%
South Hadley	0.5755%	0.3412%	0.0000%	0.0000%	0.0000%	0.0000%	0.0000%	0.0000%
Sterling	0.0294%	0.2044%	0.7336%	0.7336%	0.7336%	1.1014%	1.1014%	0.0000%
Taunton	0.0000%	0.1003%	0.0000%	0.0000%	0.0000%	0.0000%	0.0000%	0.0000%
Templeton	0.0700%	0.1926%	1.3941%	1.3941%	1.3941%	2.3894%	2.3894%	0.0000%
Vermont Public Power Supply Authority	0.0000%	0.0000%	2.2008%	2.2008%	2.2008%	0.0000%	0.0000%	0.0330%
West Boylston	0.0792%	0.1814%	1.2829%	1.2829%	1.2829%	2.3041%	2.3041%	0.0000%

Westfield	1.1131%	0.3645%	9.0452%	9.0452%	9.0452%	13.5684%	13.5684%	0.7257%
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Allocation of CTRs as described in this Section shall expire on December 31, 2040. If a unit listed in the table above retires prior to December 31, 2040, however, allocation of CTRs for such unit shall expire upon retirement. In the event that the NEMA zone either becomes or is forecast to become a separate zone for Annual Capacity Auction purposes, National Grid agrees to discuss with Massachusetts Municipal Wholesale Electric Company (“MMWEC”) and Wellesley Municipal Light Plant, Reading Municipal Light Plant and Concord Municipal Light Plant (collectively, “WRC”) any proposal by National Grid to develop cost effective transmission improvements that would mitigate or alleviate the import constraints and to work cooperatively and in good faith with MMWEC and WRC regarding any such proposal. MMWEC and WRC agree to support any proposals advanced by National Grid in the regional system planning process to construct any such transmission improvements, provided that MMWEC and WRC determine that the proposed improvements are cost effective (without regard to CTRs) and will mitigate or alleviate the import constraints.

(b) For any CTRs specifically allocated pursuant to this Section that are not designated self-supply quantities for the Capacity Commitment Period, the municipal utility entitlement holder shall receive a credit reflecting the value of such remaining CTRs. The value of each remaining CTR shall be calculated as the product of: (i) the Capacity Clearing Price for the Capacity Zone where the load of the municipal utility entitlement holder is located minus the Capacity Clearing Price for the Capacity Zone in which the Pool-Planned Unit is located; and (ii) the remaining MW quantity. This value will be divided by the number of days in the month to derive a daily settlement value.

III.15.8.5.5. Annual Capacity Market Net Charge Amount.

The Annual Capacity Market net charge amount for each Market Participant as of the end of the Obligation Month shall be equal to the sum of: (a) its Capacity Load Obligation charges; (b) its revenues from any applicable specifically allocated CTRs; and (c) any applicable export charges.

III.15.9. Information Publication and Reporting.

III.15.9.1. Publication of Certain Data Prior to the Annual Capacity Auction.

For each Annual Capacity Auction, no later than one Business Day before the opening of the Annual Capacity Auction Offer Window, the ISO shall publish publicly on its website:

- a. which Capacity Zones shall be modeled in the Annual Capacity Auction;
- b. the transmission interface limits as determined pursuant to Section III.12.5;
- c. which existing and proposed transmission lines the ISO determines will be in service by the start of the Capacity Commitment Period associated with the Annual Capacity Auction;
- d. determinations on which new resources have been rejected due to deliverability impacts pursuant to Section III.15.2.3;
- e. the expected amount of installed capacity in each modeled Capacity Zone during the Capacity Commitment Period associated with the Annual Capacity Auction, and the Local Sourcing Requirement for each modeled import-constrained Capacity Zone and the Maximum Capacity Limit for each modeled export-constrained Capacity Zone;
- f. for each resource that submitted a Load-Side Relationship Certification, the following information: the resource technology type; which qualifying circumstance in Section III.A.21.1.4 was asserted in the Load-Side Relationship Certification; the relevant state policy asserted in the Load-Side Relationship Certification, if any; whether the ISO accepted or rejected the Load-Side Relationship Certification; and, consequently, whether the resource was subject to a review for the exercise of buyer-side market power; and
- g. which resources are qualified to participate in the Annual Capacity Auction, including resource type, Capacity Zone, and Annual Qualified Capacity.

III.15.9.2. Publication of Certain Data After Conducting the Annual Capacity Auction

In addition to the Annual Capacity Auction results information identified by Section III.15.2.11 and Section III.15.4.3 of Market Rule 1, within 15 days of conducting the Annual Capacity Auction, the ISO shall publish publicly on its website:

- a. which Capacity Offers, satisfying the requirements of Section III.A.21.1 of Market Rule 1, were not reviewed for an exercise of buyer-side market power because of one of the conditions described in Sections III.A.21.1.1, III.A.21.1.2, or III.A.21.1.4 of Market Rule 1; and the condition met by each such resource;
- b. the Internal Market Monitor's determinations made as part of any buyer-side market power review conducted pursuant to Section III.A.21.2 and any Capacity Offer Floor Price determinations made pursuant to Section III.A.21.3 with regard to capacity not previously cleared

in an Annual Capacity Auction or Forward Capacity Auction, and the basis for any such determinations; except that offer price information and any information employed by the Internal Market Monitor in making these determinations related to the potential impact of a Capacity Resource's offer on Capacity Clearing Prices shall not be published publicly;

- c. the Internal Market Monitor's determinations regarding Proposed Capacity Offers, including whether the Internal Market Monitor accepted or rejected prices specified in a resource's Proposed Capacity Offer that were subject to Internal Market Monitor review and whether the Internal Market Monitor accepted or rejected the cost components of the resource's offer, which are set forth in Section III.A.22.2.3(a). No offer prices, cost components, or other underlying data shall be published; and,
- d. which resources offering capacity not previously offered into an Annual Capacity Auction or Forward Capacity Auction were qualified to participate in the Annual Capacity Auction (this information will include a list of which resources received Capacity Supply Obligations in each Capacity Zone and the amount of those Capacity Supply Obligations).